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SEPA Instant adoption in Europe

Build it and they will come

In collaboration with Celent. a GlobalData company

Europe's real-time payments revolution

How SEPA Instant is set to dominate by 2035

The European payments landscape is undergoing significant changes as the Instant Payments Regulation (IPR) takes effect, mandating real-time euro credit transfers through SEPA Instant (SCT Inst).

Recognising the scale and significance of this change, leading analyst firm Celent undertook research on our behalf to provide a comprehensive understanding of how various market participants - banks, electronic money institutions (EMIs), and payment institutions (PIs) - are preparing to capture the opportunities real-time payments offer.

The results combine a survey of over 100 financial institutions across 10 European markets with in-depth modelling of payment volumes and industry drivers.

As the July 2027 deadline approaches, this report reveals a sector in transition, a shift that will accelerate over the next decade. It also highlights the urgency and the opportunity for financial institutions to deliver real-time payments across Europe.

Instant payments become the new normal

By 2035, SEPA Instant is expected to account for 75% of all SEPA credit transfers, totalling 47 billion transactions. In fact, the tipping point is likely to come as soon as 2030, when instant payments are set to surpass traditional credit transfers and become the second most used non-cash payment type, only behind cards.

This change is expected to have a significant impact, making traditional credit transfers almost obsolete and encouraging many to switch from cards and direct debits to instant, account-to-account payments. Then there's the recent emergence of agentic AI and its potential to transform ecommerce that could further boost real-time, always-on payments.

What this means for the industry

The implications of this growth are significant. The move to instant payments is not just a compliance exercise but a catalyst for broader operational transformation. It will require robust, resilient systems capable of processing payments in seconds (always ≤ 10 seconds end-to-end), 24/7, 365 days a year.

Firms investing in scalable technology, robust fraud management, and innovative customer experiences, will be best positioned to thrive in a real-time, intelligent banking environment.

As instant payments overtake traditional transfers, the leaders that emerge will be the firms that deliver seamless and secure payment experiences.

Ezequiel Canestrari

Chief Operating Officer
ClearBank Europe

Some EMIs and PIs will choose to become direct participants under changes to the Settlement Finality Directive. While others appear content to remain indirect participants, the banks serving these firms today should not become complacent, as this research highlights that many EMIs and PIs would consider changing banking partners if services don't meet their requirements.

Gearing up for change

At ClearBank, we look forward to what's ahead.

A bank, built to be real-time by default, we're already supporting innovative firms across Europe to deliver services utilising SEPA Instant and move money in real-time, rather than the speed of legacy infrastructure.

We believe the IPR will be a catalyst for significant change across European payments, benefiting both businesses and consumers.

This research offers timely and practical insights for those navigating the shift to instant payments. It highlights challenges, key models, and strategic opportunities for innovators and leaders in Europe's evolving payments market.

Enjoy the report.

SCT Inst Adoption in Europe: Build It and They Will Come

Conquering Challenges, Capturing Opportunities

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A part of GlobalData

Contents

Executive Summary

The Instant Payments Regulation (IPR) mandating immediate payments for euro-denominated credit transfers is a watershed moment for Europe's payments market, moving instant transfers from a niche offering to a mainstream expectation. By 2035, Celent anticipates that SEPA Instant Payments (SCT Inst) will be deeply ingrained in European commerce, effectively the "new normal" for electronic payments.

SCT Inst mandates represent a significant milestone in Europe's journey towards harmonised and efficient digital payments. Celent kicked off this research study seeking to better understand how various players—banks, electronic money institutions (EMIs), and payment institutions (PIs)—are getting ready to capture the SCT Inst opportunity:

- **Market Readiness and Compliance:** How ready are the different institutions to comply with various SCT Inst mandates? What approaches are they following, how much are they investing? What challenges are they facing? What actions do they expect from the regulator?
- **Attitudes to SCT Inst:** What does the industry expect from SCT Inst? How are the industry players engaging with customers? What factors/ use cases do they see as the key drivers of SCT Ins adoption? What SCT Inst adoption do they expect at their institution/ country/ eurozone/ EU? Will that meet the regulator's expectations?
- **Resulting SCT Inst Volumes:** What does that mean for SCT Inst volumes? What proportion of traditional credit transfers (SCT) will become instant? Will SCT Inst take market share away from other payment types? What other market developments might impact SCT Inst?

To capture the industry's sentiments directly, Celent surveyed over 100 financial institutions: retail and corporate banks, EMIs, and PIs, operating across 10 European markets. In addition, Celent developed a model forecasting SCT Inst volumes, based on our understanding of market developments and drivers, payment volume data available from GlobalData and other sources, as well as the survey inputs. The research study that underpins the findings discussed in this report was commissioned by ClearBank, but the report was written independently by Celent.

Key findings of the research include:

- Banks are firmly on track to comply with the different SCT Inst mandates. All 60 bank respondents stated that they were already fully compliant with January 2025 requirements. Over half (55%) are already compliant even with July 2027 mandates and the rest (95-97%) believe they will be ready by then.

- EMIs and PIs are less ready now and less confident about the future than banks – 20% expect to miss the July 2027 deadlines by three to six months.
- Banks expect to spend much more than EMIs and PIs to achieve compliance: 61% of respondents plan to spend over €20 million (total capital and annualized operating expenses), including 23% outlaying €50-100 million. In contrast, the vast majority of non-banks expect to spend less than €10 million; only one EMI based in France intends to spend €50-100 million.
- Traditionally, most EMIs and PIs connect to SEPA, including SEPA Inst, as *indirect participants*. The IPR's changes to the Settlement Finality Directive open the possibility for EMIs to become *direct participants* in SEPA clearing systems, a status previously limited to credit institutions, and 41% of respondents intend to take advantage of this – 12% already have direct access, while others are at different stages of the application process.
- The industry's attitudes to SCT Inst are overwhelmingly positive. The survey respondents believe that SCT Inst will have a positive impact on the industry overall (73% agreeing), benefitting not only their customers (69%) but their institutions as well (65%).
- While EMIs appear to be the most willing to build new propositions around SCT Inst, with 25% strongly suggesting that they will do so, it is the corporate banks that are leading the charge of ideating with the clients – 63% of them said they've already been workshopping with clients to explore use cases for SCT Inst. And while 40% of retail banks say they've done the same, at the other end of the spectrum, 13% said they are actively encouraging clients to remain on SCT!
- By 2035, most credit transfers will be instant: every institution expects that at least two-thirds of SCT volumes will become SCT Inst, with an average of 75% of all SCT volumes.
- In fact, the tipping point is sooner than many think – Celent forecasts that SCT Inst volumes will overtake SCT by 2030 and will accelerate away. SCT Inst is poised to capture a growing share of a growing payments pie and by 2035 will become the second most used non-cash payment type, representing 18% of all payments.
- Traditional credit transfers may become nearly obsolete, and a significant portion of transactions currently done via direct debit or cards may migrate to instant, account-to-account methods. If 20% of cards and direct debits, as well as all the remaining SCT transactions, were to migrate to SCT Inst – a hypothetical but not entirely unrealistic scenario – the SCT Inst volumes by 2035 would exceed 90 billion transactions.
- Longer-term developments, such as agentic commerce, stablecoins, and especially the Digital Euro, are likely to have further impact on SCT Inst volumes. Agility and the ability to respond to changes matter more than ever before.

The move to instant payments in Europe is accelerating a broader transformation towards real-time, intelligent banking. Compliance with IPR is merely the first step. The real winners will be institutions that go beyond compliance and innovate on top of instant payments, creating seamless, secure, and intelligent payment experiences, where money moves as fast as information, and banking truly happens in an instant.

Introduction

The Instant Payments Regulation mandating availability of immediate payments for euro-denominated credit transfers is the latest in the series of regulatory initiatives to harmonise payments across Europe. The mandates are introduced in phases with the first set of requirements already in force in 2025.

The Single Euro Payments Area (SEPA) was established to harmonize payments in euros, initially focusing on standard SEPA credit transfers (SCT) and SEPA direct debits (SDD). The SEPA Instant Payments (SCT Inst) scheme was launched in 2017, enabling institutions to send and receive euro payments in real-time, 24/7/365; funds are made available immediately (within 10 seconds) and irrevocably to the recipient. However, participation was voluntary, and the adoption has been slow – according to several sources, instant payments made up only ~11% of all euro credit transfers in 2023. Furthermore, adoption varied widely across Europe – while some countries had nearly universal adoption, others lagged, partly because banks charged senders a premium of ~€1 and sometimes more per transaction.

The Instant Payments Regulation (IPR, Regulation EU 2024/886), adopted by the European Parliament and Council on March 13, 2024, amends SEPA Regulation (Regulation 260/2012) and related legislation (PSD2, Settlement Finality Directive) to mandate instant payments for euro-denominated credit transfers.

The mandates are quite specific and include:

- **Availability:** all payment service providers (PSPs), including banks, electronic money institutions (EMIs), and payment institutions (PIs) must offer sending and receiving instant credit transfers.
- **Fee parity**: charges for SCT Inst cannot exceed those for standard SCT of equivalent type.
- **Verification of Payee (VoP)**: checks to ensure that the intended recipient is correct by matching name and account identifier, to reduce mis-sending and fraud at no additional cost to the payer.
- **Sanctions screening**: must continue but can be on a regular – at least daily – basis rather than transaction-by-transaction for most intra-EU flows. Includes continuous monitoring of payment service users and screening against any updates to sanctions.
- **Performance standards**: payments must complete within 10 seconds, available 24/7/365. All channels where SCT is offered must also support SCT Inst.

The mandates come into force in phases based on **functionality** (e.g., send vs. receive, VoP), **PSP location** (e.g., eurozone vs. EU), and **type** (e.g., EMIs and PIs typically have more time to comply than banks); see Figure 1 on page 6.

Figure 1: The Phased Rollout of SCT Inst Mandates: Key Milestones

Mandate	Timeline				
	January 2025	October 2025	January 2027	April 2027	July 2027
Receive and process SCT Inst euro payments; make funds available to customers within 10 sec	Eurozone banks		All EU banks	All EU EMIs and PIs	
Send euro payments and debit customer funds within 10 sec		Eurozone banks		Eurozone EMIs and PIs	All EU PSPs
Align SCT and SCT Inst fees	Eurozone PSPs		All EU PSPs		
Conduct revised sanctions screening	All EU PSPs				
Verification of Payee		Eurozone PSPs			All EU PSPs

Source: European Commission, Celent analysis

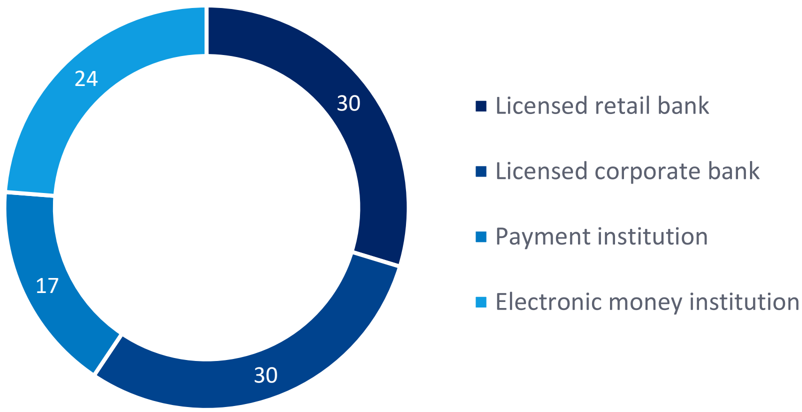
SCT Inst mandates represent a significant milestone in Europe's journey towards harmonised and efficient digital payments. Celent kicked off this research seeking to better understand how various players—banks, EMIs, and PIs—are getting ready to capture the SCT Inst opportunity:

- **Market Readiness and Compliance:** How ready are the different institutions to comply with various SCT Inst mandates? What approaches are they following, how much are they investing? What challenges are they facing? What actions do they expect from the regulator?
- **Attitudes to SCT Inst:** What does the industry expect from SCT Inst? How are the industry players engaging with customers? What factors/ use cases do they see as the key drivers of SCT Ins adoption? What SCT Inst adoption do they expect at their institution/ country/eurozone/EU? Does that meet the regulator's expectations?
- **Resulting SCT Inst Volumes:** What does that mean for SCT Inst volumes? What proportion of traditional credit transfers (SCT) will become instant? Will SCT Inst take market share away from other payment types? What other market developments might impact SCT Inst?

To capture the industry's sentiments directly, Celent surveyed 100+ financial institutions operating across Europe. The respondents included 60 licensed banks (30 retail and 30 corporate banks) and 41 non-banks (24 EMIs and 17 PIs), Figure 2. The bank respondents represented mostly mid-to-large banks (over $50 billion in assets) in 10 European markets (Figure 3), while EMIs and PIs respondents also operate in these markets. The survey was in the field for three weeks at the end of September and beginning of October 2025, i.e., just before the October 2025 mandates came into force. We are grateful to all participants for their time and insights. Of course, we kept the individual responses confidential and did not attribute anything to specific identifiable respondents.

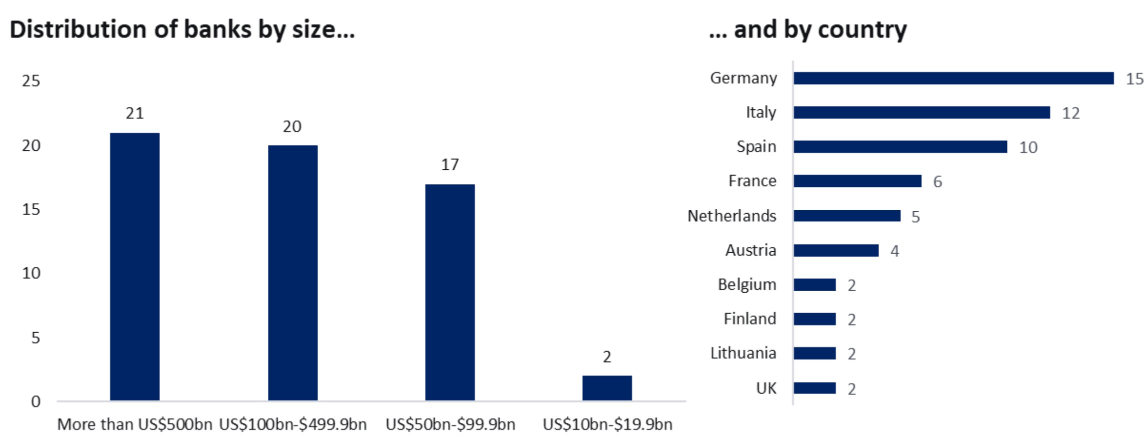
In addition, Celent developed a model forecasting SCT Inst volumes, based on our understanding of market developments and drivers, payments volume data available at GlobalData and other sources, as well as the survey inputs. The research study that underpins the findings discussed in this report was commissioned by ClearBank, but the report was written independently by Celent.

Figure 2: Celent SCT Inst Survey Reached 101 Financial Institutions in Europe



Source: Celent SCT Inst Survey, October 2025, n=101

Figure 3: Bank Respondents Were Drawn from Mid-to-Large Banks Across 10 Markets



Source: Celent SCT Inst Survey, October 2025, n=60

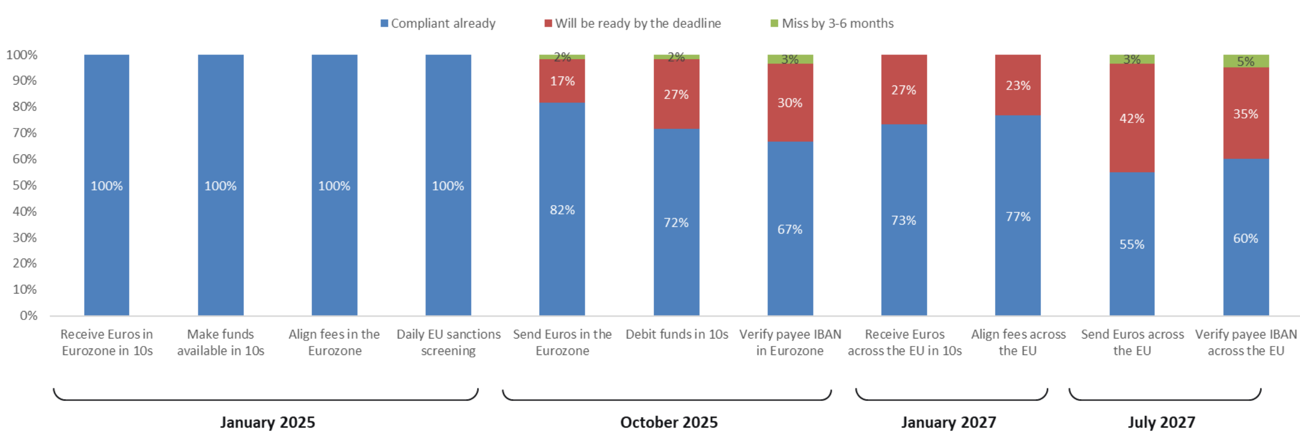
Market Readiness: Compliance Comes at a Cost

While IPR requirements are mandatory, how compliance is met, when, and at what cost is very much at the forefront of the discussions. The Celent study shows that banks are more ready than EMIs and PIs to comply with different SCT Inst mandates and also to spend more.

Compliance Status Today and Expectations

Celent survey results are clear: banks are firmly on track to comply with different SCT Inst mandates. All 60 bank respondents stated that they were already fully compliant with the January 2025 requirements to receive SCT Inst euro payments and make funds available to customers in 10 seconds. They have also aligned the fees between regular SCT and SCT Inst payments and have moved to a new sanctions screening regime of screening customers daily rather than for each transaction (Figure 4). It is worthwhile noting that the regulation also contained significant potential fines for non-compliance (up to 1% of annual revenues), as well as financial damages payable to payees, payors, or other PSPs impacted.

Figure 4: Many Banks are Already Compliant for 2027 Mandates

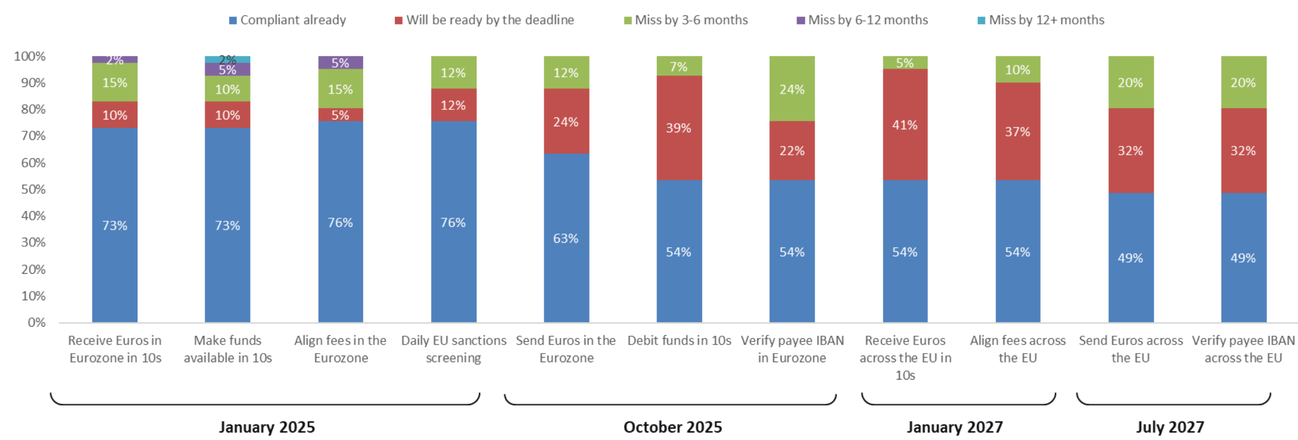


Source: Celent SCT Inst Survey, October 2025, all banks, n=60
Q: What is the best way to describe your institution's readiness for different aspects of SCT Inst mandates?

While 97-98% of the respondents said they were either ready or would be ready by the deadline for October 2025 mandates, Celent suspects that some would have missed the deadline, considering that the survey ran just before the mandates came into force on October 9th. However, overall, banks are confident in their ability to meet the upcoming requirements and only a few banks – mainly in Germany, Italy, Lithuania, and the Netherlands – expect to miss some deadlines by three to six months. While the largest (over $500 billion in assets) and the smallest, except for one bank in Lithuania, banks are confident in their ability to meet the deadlines, 5% and 10% of banks with $100-$499 billion in assets expect to miss all three October 2025 and both July 2027 mandates by three to six months respectively.

However, the picture is a little different with EMIs and PIs. For simplicity, we asked them the same questions as banks, even though some of the mandates don't come into force for EMIs and PIs until later. There are two ways of looking at the survey responses in Figure 5: the less generous view is that fewer non-banks are already compliant, and some expect to miss the various deadlines by almost a year. However, a more positive take on this is that nearly three-quarters of EMIs are compliant with the January 2025 mandates even though they are not required to do so until 2027.

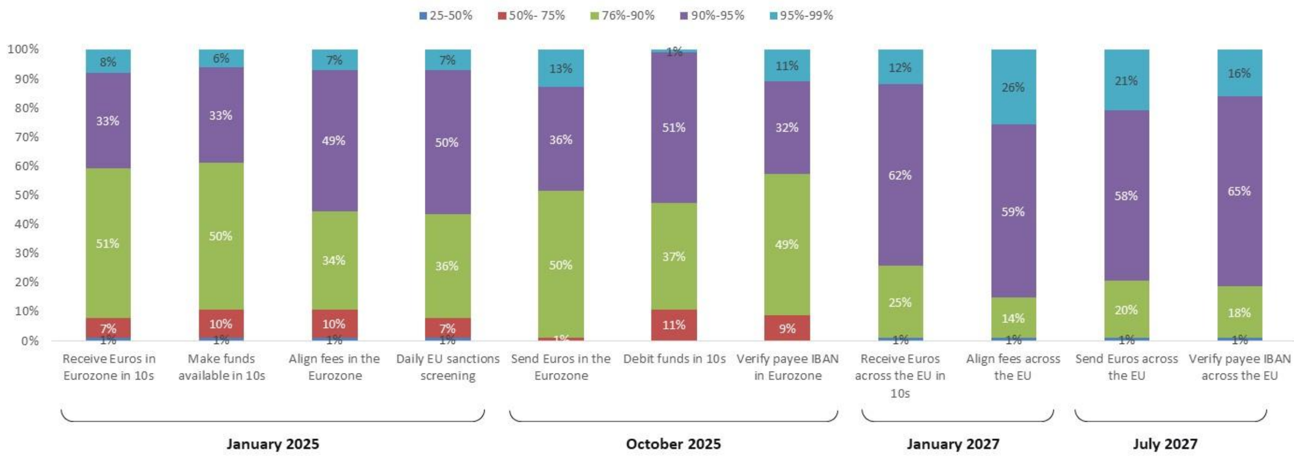
Figure 5: EMIs and PIs are Less Ready for SCT Inst



Source: Celent SCT Inst Survey, October 2025, all EMIs and PIs, n=41
Q: What is the best way to describe your institution's readiness for different aspects of SCT Inst mandates?

Celent also asked the survey respondents about what percentage of payment service providers (PSPs, not volume of payments) in the EU they expect to be compliant with various deadlines. Quite often, survey respondents tend to be more positive about their own institution's progress than that of the entire industry. However, that doesn't seem to be the case here: even the few remaining sceptics believe that 50-75% of PSPs are, or will be, compliant with the 2025 mandates; the majority believe the industry compliance levels are already at 76-95%. With 2027 deadlines, the confidence only grows, with ~80% of respondents believing that over 90% of PSPs will be compliant (Figure 6 on page 10).

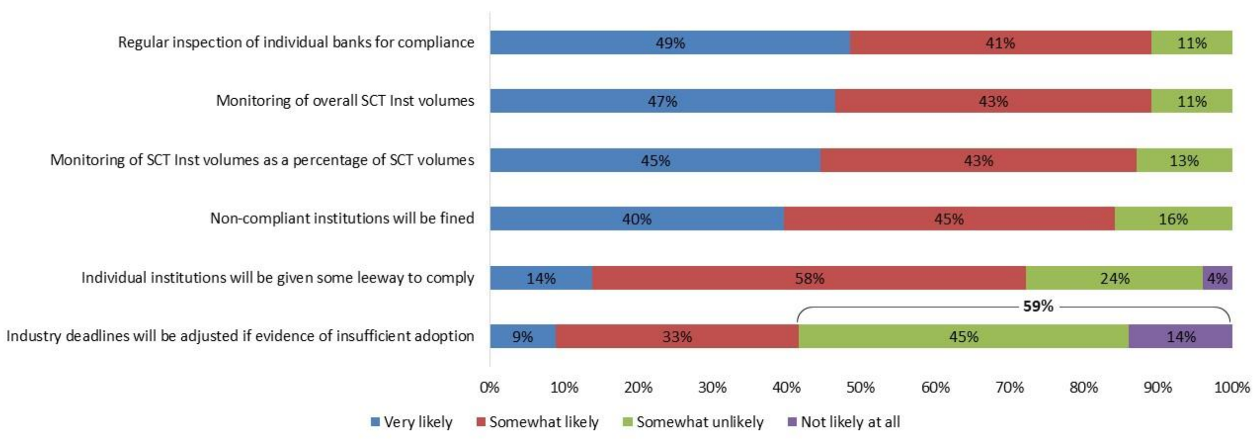
Figure 6: Respondents Expect That Most PSPs Will be Compliant SCT Inst



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. How ready do you think will the industry be to meet various SCT Inst mandate deadlines? In your opinion, what percentage of PSPs (i.e., Payment Service Providers, not volume of payments) in the EU will be compliant with these deadlines?

This high degree of confidence around compliance explains the next survey finding: respondents don't believe that regulators will need to adjust deadlines – 59% said it would be an unlikely outcome (Figure 7). They expect that regulators will inspect PSPs and monitor SCT Inst volumes, both overall and as a percentage of SCT volumes. And non-compliant institutions are more likely to be fined than given leeway to comply: 40% of respondents believe fines are "very likely" while only 14% think it's "very likely" that the regulator will go easy on the individual PSPs.

Figure 7: Expected Regulatory Actions to Monitor and Enforce SCT Inst Compliance



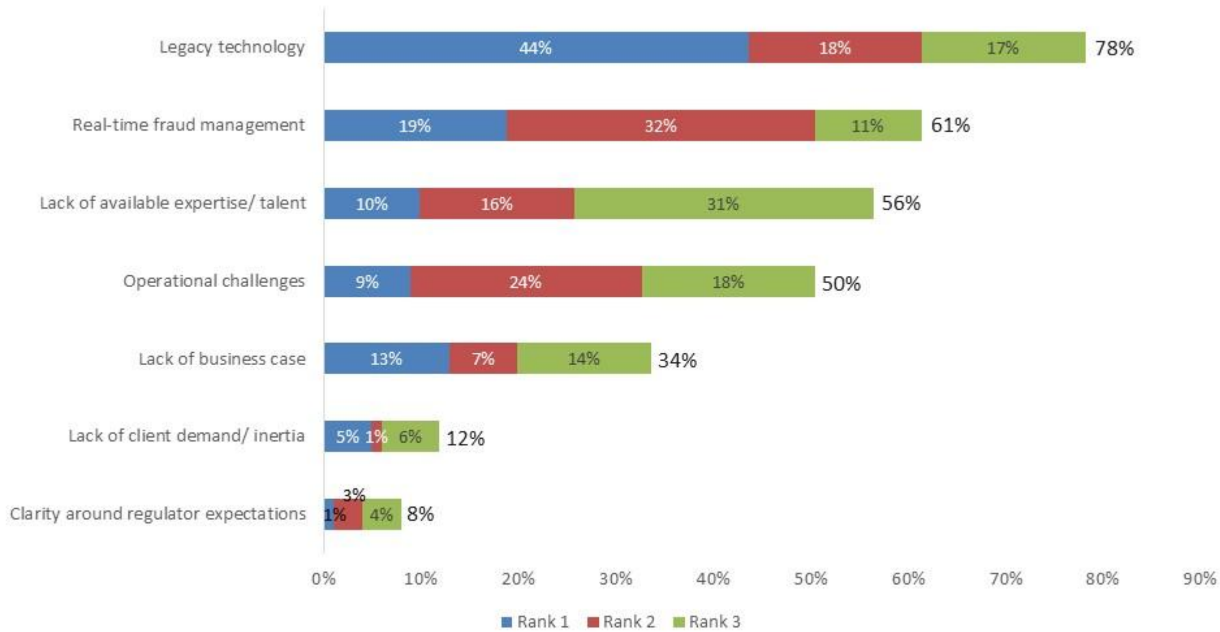
Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. How do you expect regulators to monitor and enforce compliance? How likely is it that they will use the following measures?

Becoming Compliant: Challenges, Approaches, and Cost

Transitioning to instant payments under tight timelines poses non-trivial challenges:

- **Legacy Technology and Infrastructure:** Many banks face the challenge of upgrading legacy core banking systems to support 24/7/365 operation and 10-second processing windows. Batch processing models and downtime windows must be re-engineered, for example, by converting to stream processing. Unlike large banks, many EMIs and PIs use agile modern tech stacks, which can be an advantage. But they often rely on third-party core banking or ledger systems. If those systems (or vendors) do not support SCT Inst yet, the EMIs must coordinate upgrades. In Celent's survey, 78% of PSPs ranked legacy technology as one of the top three challenges, with 44% citing it as the number one challenge, by far the highest score (see Figure 8). PSPs are revising service-level agreements with IT providers to ensure high uptime and investing in robust cloud or on-premises infrastructure for low-latency processing.

Figure 8: Key Challenges in Adopting SCT Inst



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What do you see as key challenges and barriers for SCT Inst industry adoption?

- **Fraud and Risk Management:** As Celent has repeatedly stated, faster payments can lead to faster fraud – fraudulent transactions can clear in seconds, giving banks little time to react. The European Banking Authority's study in 2022 found that fraud rates are up to *10 times higher* on instant transfers vs. traditional ones. The UK has been at the forefront of faster payments for a long time and is facing a significant problem with authorised push payment (APP) fraud; the most recent data from UK Finance shows that APP fraud losses in the UK reached £257.5 million in H1 2025, a 12% increase on the same time last year. Real-time fraud management is the second-largest challenge in Celent's survey, with 61% of PSPs ranking it as one of their top three concerns; incidentally, corporate banks appear to be more concerned (70%) than their retail counterparts (50%). Banks must implement real-time fraud detection engines, including solutions for scam and mule detection, as well as strong customer authentication. AI-driven fraud analytics can score transactions within milliseconds, while adding friction, such as step-up verification for suspicious activity or asking customers to pause and think before making a transfer, can help fight scammers and reduce fraud. The IPR also encourages PSPs to let customers set their own instant transfer limits as a safety measure.

- **Verification of Payee (VoP, IBAN-Name Check):** As another tool against fraud, from October 2025, PSPs must offer a service that checks the beneficiary's name against the IBAN before execution, alerting payers of mismatches. While "confirmation of payee" solutions exist at a country level (e.g., Belgium, the Netherlands, and the UK), banks are concerned about implementing VoP across SEPA, as it requires either bilateral data sharing or using a new central directory. To facilitate this, the European Payments Council (EPC) has launched a pan-European VoP scheme and directory. However, the EPC VoP Scheme Rulebook was published only in October 2024, and banks have not had much time to select a partner, integrate the APIs into all digital banking channels and corporate payment systems, and redesign the workflows to incorporate this into their practices. Indeed, as Figure 4 on page 8 shows, this mandate is proving to be among the most challenging for banks. Banks are concerned about false mismatches (e.g., minor name spelling differences) and customer experience, as well as data privacy in sharing account name details across borders. And while banks understand that it should help reduce fraud costs, several also explicitly mentioned to us the cost associated with VoP, especially considering that they cannot charge for this feature.
- **Sanctions Screening Compliance:** Screening each transaction in real-time is a tall order. Clarifications by regulators have helped: IPR explicitly prohibits delaying an instant transfer for screening but does not require screening each transaction. Instead, the new rules require regular – at least daily but can be more frequent – verification that no customer is on EU sanctions lists. Banks must implement daily automated sanctions list checks across their entire customer base and keep audit logs. Some banks are deploying systems to pre-clear customers continuously, while others are upgrading to next-gen sanctions screening tools that can run checks ad hoc 24/7 and handle false positive alerts more efficiently. Adapting to obligations like sanction screening every 24 hours and real-time fraud monitoring is stretching compliance capacity at some of the smaller institutions, particularly EMIs and PIs.
- **Operational Challenges:** Supporting instant payments requires a change not just in technology but in operating model as well. Banks need procedures and staffing for round-the-clock incident monitoring and customer support. Just as challenging is shifting the mindset from "banker's hours" to continuous service. In Celent's survey, 50% of respondents identified operational challenges as one of the top three concerns, with a third ranking it among the top two; payment institutions are the most concerned group at 59%. PSPs are also worried about lack of available expertise and talent, with 56% raising it as one of their top three challenges. Some PSPs are forming dedicated real-time payments teams or outsourcing night-time and weekend operations to service bureaus.
- **Cost and Business Case:** Implementing instant payments comes with costs, such as technology upgrades, scheme fees, and fraud tools (we'll discuss costs more a little later), but the regulation forbids charging a premium for instant service. Many banks historically charged for instant transfers (€0.50–€1 or more), but under IPR, they must price them equal to or less than standard transfers, resulting in transactions often being free or very low-cost. This squeezes direct fee income and leaves PSPs concerned that they might not be able to recoup investment. Instead, banks are seeking indirect benefits – for example, utilising instant capabilities to win customers or feed other revenue-generating services, like instant loan disbursements, or value-added APIs for corporate treasury.

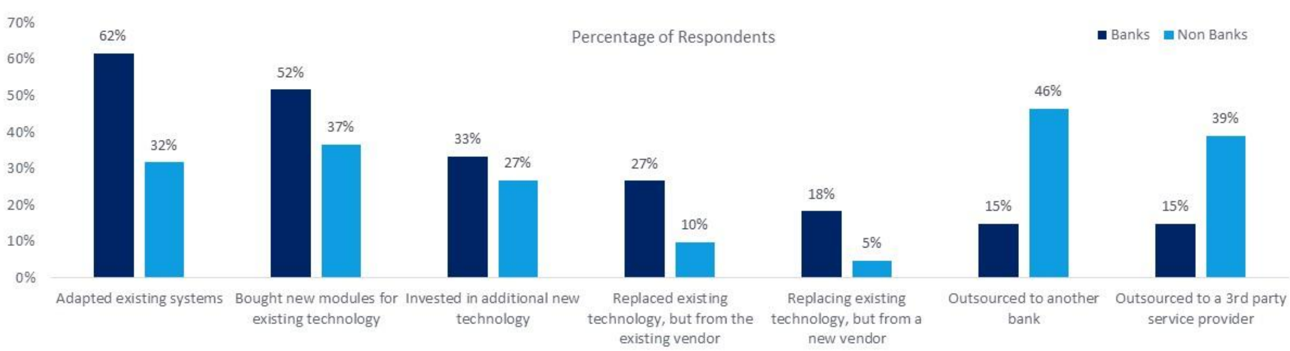
Indeed, while lack of business case was cited as one of the top three barriers by 34% of all respondents, that number rises to 43% for retail banks and 41% for payment institutions, while dropping to 27% for corporate banks and 25% for EMIs.

- **Liquidity and FX Considerations:** To send instant payments 24/7, banks must always ensure sufficient liquidity in euros. While the ECB's TIPS system provides 24/7 central bank money settlement, banks must adequately prefund their accounts. Some banks plan to maintain larger buffers in their TIPS accounts or use automated sweep systems from their main RTGS (TARGET2) to TIPS. Additionally, instant payments from foreign-currency accounts (e.g., a Swedish Kroner, SEK or Polish Zloty, PLN account sending euros instantly) pose a challenge – FX markets close on weekends, leaving banks exposed to exchange rate risks. Non-euro area and multinational banks are especially concerned about accessing euro liquidity outside regular business hours. This is why the implementation is phased, with mandates for non-eurozone participants coming in later. Liquidity is also a key consideration for EMIs and PIs who must safeguard customer funds, often by holding them at a partner bank. To participate in instant settlement, they may need to keep funds at a central bank or at least have extremely fast access to liquidity. This changes their business model and potentially capital requirements.

The good news is that most PSPs don't see any issues around regulatory clarity and, most importantly, client demand – only 8% and 12% cited these as one of the top three challenges, respectively (Figure 8). EMIs were one group that stood out, with 21% mentioning lack of regulatory clarity, while corporate banks (20%) and PIs (18%) were the groups most sceptical about client demand.

The Celent survey also asked PSPs about approaches they follow to achieve compliance – are they adapting or replacing technology systems, buying from existing or new vendors, or perhaps outsourcing it to another bank or a third-party service provider? Not surprisingly, the answer is all of the above. However, banks are much more likely to adapt and buy new modules for existing systems, while non-banks prefer outsourcing – see Figure 9. While we also asked a similar question about areas where PSPs have yet to achieve compliance, the responses were almost identical, with just a slight increase in prevalence towards outsourcing at the expense of adapting existing systems.

Figure 9: Approaches to Achieving SCT Inst Compliance

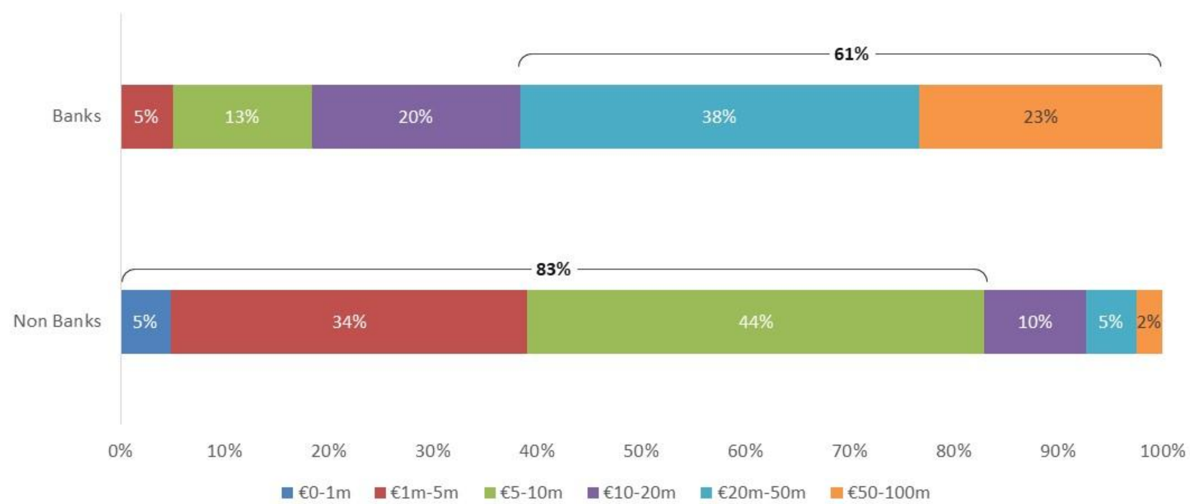


Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. Thinking about areas where your institution has already achieved compliance, what approaches did you follow? Select all that apply

Banks also expect to spend much more than EMIs and PIs to achieve compliance: 61% of Celent's survey respondents plan to spend over €20 million (total capital and annualized operating expenses) and 23% between €50-100 million. Not surprisingly, the largest banks are the biggest spenders – 57% of them are spending between €50-100 million, although 24% believe that less than €10 million should be enough for them.

In contrast, the vast majority of non-banks expect to spend less than €10 million; only one EMI based in France intends to spend €50-100 million. EMIs and PIs tend to have more modern technology stacks and are more likely to outsource instant payments to a bank or a third-party service provider, a topic discussed further in the next section.

Figure 10: Expected Spend to Become SCT Inst Compliant, Total Capex and Annualized Opex



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. How much money (total Capex and annualized Opex) do you estimate that you will have spent to be compliant?

Participating in SCT Inst for EMIs and PIs: Direct or Indirect?

Direct vs. Indirect Access

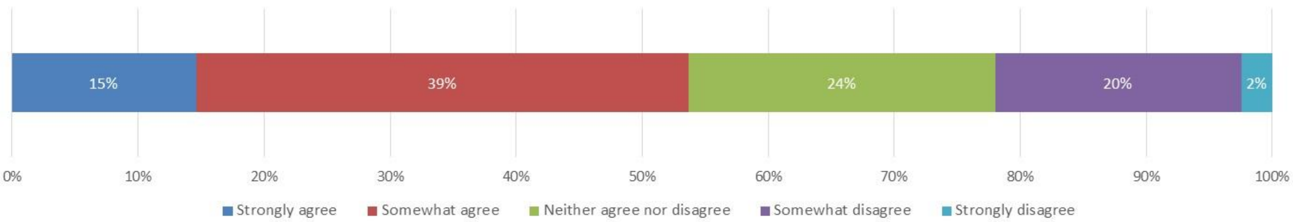
Traditionally, most EMIs and PIs connect to SEPA, including SEPA Inst, as *indirect participants*. They do this via a partnership with a sponsor bank that is a direct member of a SEPA clearing and settlement mechanism (CSM). The sponsor bank handles the connectivity and settlement on behalf of EMIs and PIs to process instant payments for their customers.

The IPR's changes to the Settlement Finality Directive open the possibility for EMIs to become *direct participants* in SEPA clearing systems, a status previously limited to credit institutions.

According to Celent's survey, 59% of PIs and 46% of EMIs intend to continue with indirect access via partner banks for the foreseeable future. However, banks serving EMIs and PIs today should not get too complacent: only 22% non-bank respondents disagreed with the statement, "We would consider changing banks if their SCT Inst service was not good enough" while 54% agreed, and 24% were neutral (Figure 11 on page 15).

Figure 11: EMI and PI Views on Importance of Service Provided by Banks

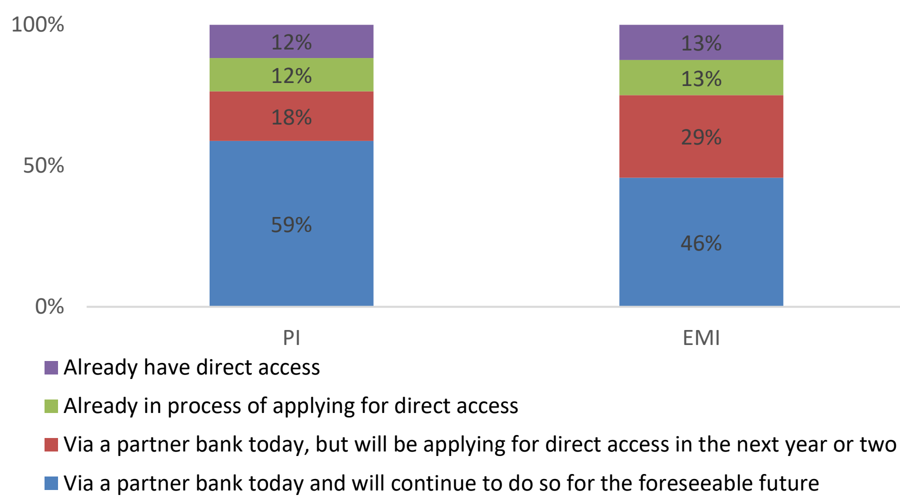
"We would consider changing banks if their SCT Inst Service was not good enough." Please indicate agreement



Source: Celent SCT Inst Survey, October 2025, all non-banks, n=41

Furthermore, 29% of EMIs and 18% of PIs plan to apply for direct access within the next year or two, and a small minority, 12% (five institutions), have already applied, as shown in Figure 12 on page 15. Finally, among respondents, three EMIs based in France, the Netherlands, and the UK, as well as two PIs in Spain, already have direct access to SCT Inst.

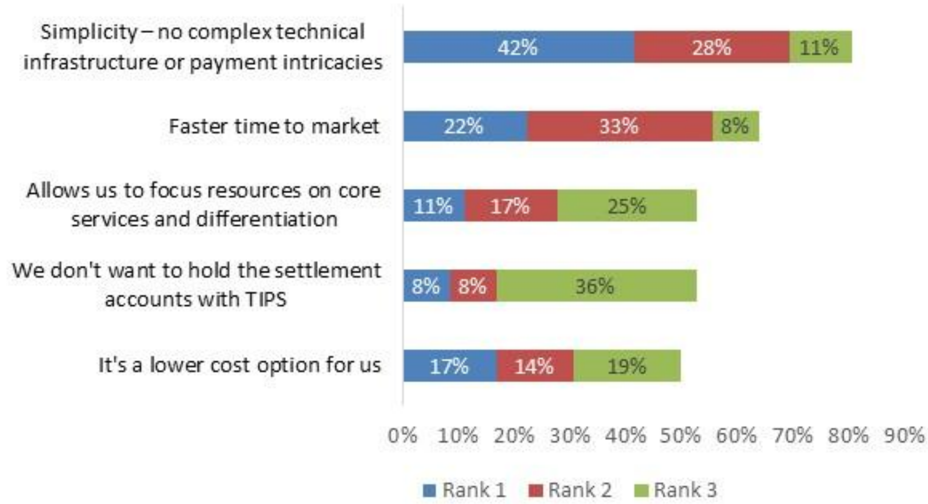
Figure 12: Direct vs. Indirect Access for EMIs and PIs



Source: Celent SCT Inst Survey, October 2025, all non-banks, n=41
Q. Which of the following best describes your access to SCT Inst?

While until recently, EMIs and PIs had no choice but to be indirect participants; however, there are several reasons why they might want to maintain this approach. The traditional argument is that it generally involves lower initial setup and compliance costs, which is true. However, when we asked 36 institutions why they continue to *use a bank partner for access*, cost came bottom of the list with 50% of respondents ranking it as one of the top three reasons. Having said that, 17% ranked cost as the number one driver, and two other reasons – not wanting to hold settlement accounts with TIPS and preferring to focus resources on core services and differentiation – were ranked similarly at 53%. Still, a clear number one reason is simplicity – non-banks don't want the hassle of complex technical infrastructures and dealing with payment intricacies; 81% of non-bank respondents ranked this among their top three reasons, with 42% having it as their number one choice. Simplicity was followed by faster time to market, with 64% calling it out as one of the top three choices.

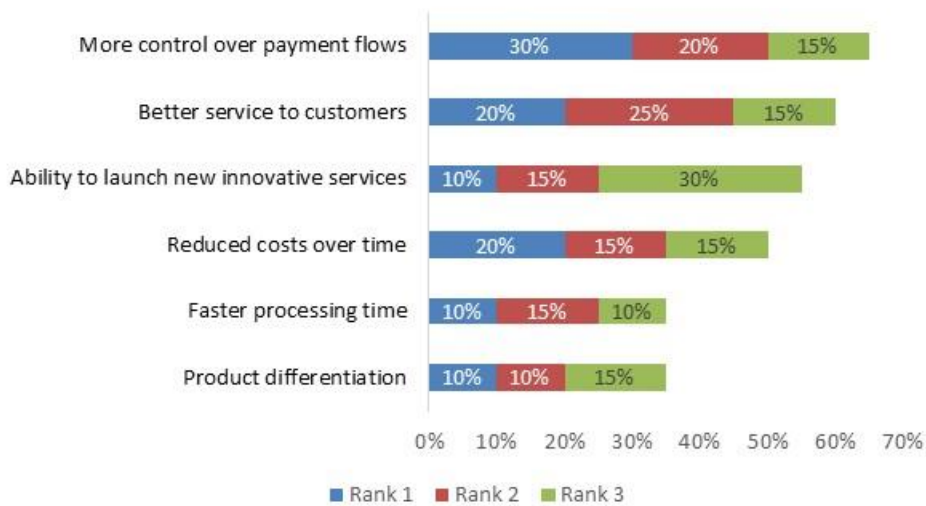
Figure 13: Reasons for Maintaining Indirect Access via Sponsor Bank



Source: Celent SCT Inst Survey, October 2025, non-banks that don't yet have direct access, n=32
Q. What are the main reasons for you to use a bank partner for access?

On the other hand, EMIs and PIs that either *already have or intend to obtain direct access* believe that this would give them more control over payment flows (65% of 20 such respondents ranked it as one of top three reasons), enable better service to customers (60%), increase their ability to launch new innovative services (55%), and reduce costs over time (50%), particularly for those operating at a larger scale, as it removes the need for per-transaction fees typically charged by a sponsor bank.

Figure 14: Reasons for Gaining Direct Access to SCT Inst



Source: Celent SCT Inst Survey, October 2025, non-banks that either have or applying for direct access, n=20
Q. What are the main reasons for you to go for direct access?

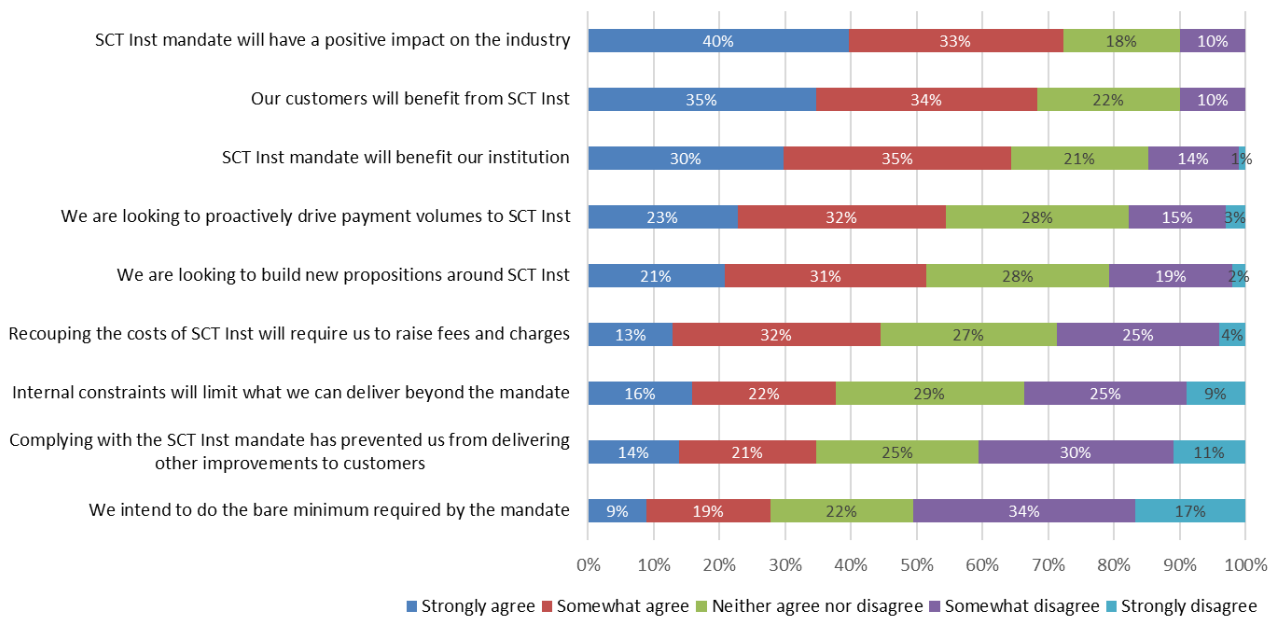
If You Build It, Will They Come? SCT Inst Attitudes and Adoption Expectations

Regulation mandates SCT Inst availability – all PSPs must offer it – and the industry is responding. However, as all product leaders know, just having the product does not mean that customers will use it, unless the industry is actively driving adoption. This section explores the industry's attitudes to SCT Inst and its adoption expectations.

Instant Attraction to SCT Inst: Exploring Industry Attitudes

Celent survey asked the respondents to indicate their level of agreement with a series of statements, designed to capture the industry's sentiment towards SCT Inst. Figure 15 lists several statements and shows the proportion of respondents agreeing or disagreeing with each statement.

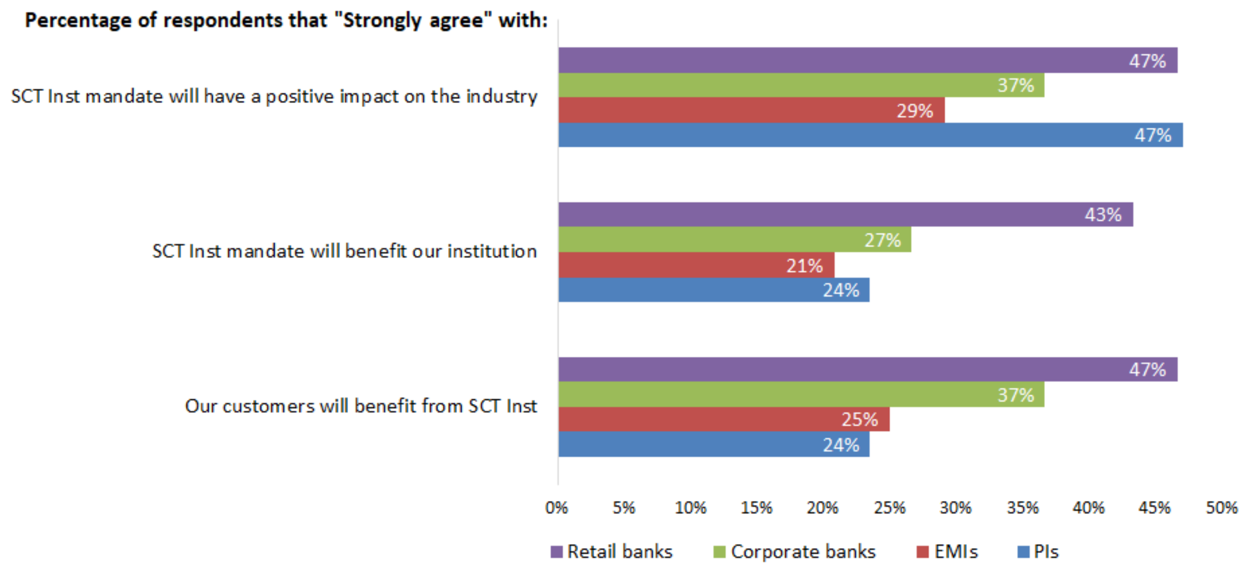
Figure 15: Industry Attitudes to SCT Inst



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What are your overall views on SCT Inst mandate? Please indicate your agreement with the following statements.

The survey results indicate that the industry's attitudes to SCT Inst are overwhelmingly positive. The respondents believe that SCT Inst will have a positive impact on the industry overall (73% agreeing), benefitting not only their customers (69%) but also their institutions (65%). While the overall numbers agreeing are similar, there are interesting differences in the strength of agreement: retail banks are far more likely to agree strongly with these statements than any other group, with corporate banks, EMIs, and PIs less confident that SCT Inst will benefit them and their customers (see Figure 16).

Figure 16: Breaking Down Industry Attitudes to SCT Inst by Respondent Type (1/2)

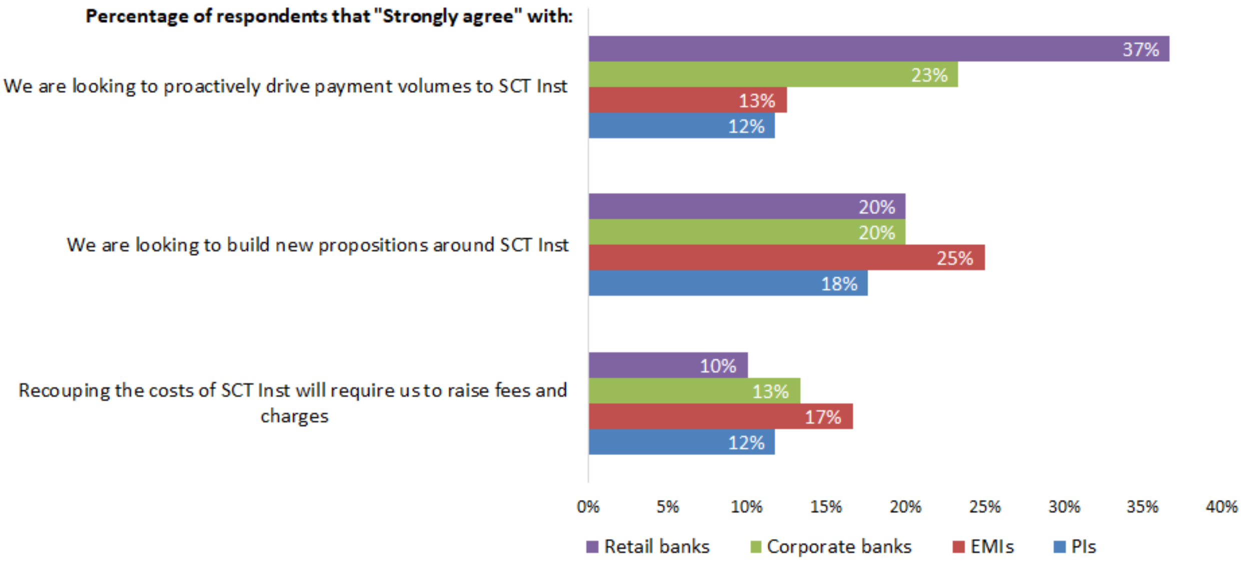


Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What are your overall views on SCT Inst mandate? Please indicate your agreement with the following statements.

That positive outlook of retail banks may be related to the fact that they are more likely to proactively drive payment volumes to SCT Inst – 37% of them agreed strongly with that statement, compared to 23% corporate banks and 12-13% EMIs and PIs (Figure 17 on page 19). While EMIs appear to be the most willing to build new propositions around SCT Inst, with 25% strongly suggesting that they will do so, it is the corporate banks that are leading the charge of ideating with the clients – 63% of them said they've already been workshopping with clients to explore use cases for SCT Inst (Figure 18 on page 19). And while 40% of retail banks say they've done the same, at the other end of the spectrum, 13% said they are actively encouraging clients to remain on SCT! Approximately 42% of EMIs engaged with the clients to explain SCT Inst benefits, but most EMIs and PIs tend to respond when asked, with a small minority waiting to engage until they are ready themselves.

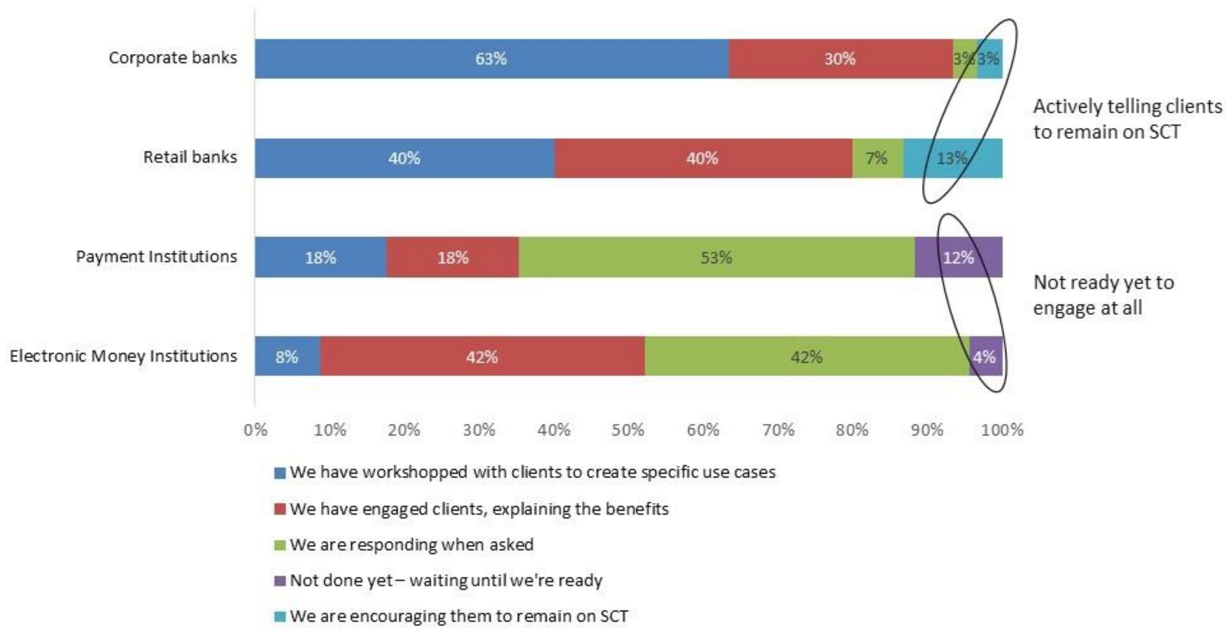
The industry participants are somewhat split on whether they would seek to raise fees and charges to recoup the cost of their investment – 45% of them agreed, but 29% disagreed with another 27% remaining neutral (Figure 15 on page 17). EMIs seem to be the most determined group with 17% strongly agreeing that they will have to raise fees, while only 10% of retail banks said the same (Figure 17 on page 19).

Figure 17: Breaking Down Industry Attitudes to SCT Inst by Respondent Type (2/2)



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What are your overall views on SCT Inst mandate? Please indicate your agreement with the following statements.

Figure 18: Banks Are More Ready to Proactively Engage with Clients



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What are your overall views on SCT Inst mandate? Please indicate your agreement with the following statements.

Finally, Celent survey respondents tend not to think that complying with the SCT Inst mandates has prevented them from delivering other improvements to customers or that internal constraints will limit what they can deliver beyond the mandate. Overall, 51 % of respondents – the highest percentage – disagreed with the statement, “We intend to do the bare minimum required by the mandate.” Corporate banks were the most unequivocal about that, with 57% disagreeing. In comparison, retail banks were the most divergent group – 47% disagreed, 34% agreed with the intention to do the bare minimum, and 17% strongly agreed.

SCT Inst Adoption Expectations

Before the formal announcement of IPR, it was clear that there would be regulation for SCT Inst, and that it would not only mandate that PSPs must offer it but would also put measures in place to drive uptake. Indeed, in her Sibos opening plenary speech in 2022, Mairead McGuinness, the then European Commissioner for Financial Stability, Financial Services, and the Capital Markets Union, said that the yet to be published draft regulation would include both measures to promote the widespread use of instant payments, and instruments to ensure that instant payments were priced proportionately and not as a premium product.

As more than one bank product manager has wryly commented, the best way to ensure adoption is to mandate it! In 2018, instant payments were just 0.08% of EU credit transfers, and by 2023, they remained under 20%. Furthermore, many of the discussions Celent had with clients soon after the regulation was announced related to what they *had* to do in terms of offering to clients. The clear implication of these questions was that the banks weren’t immediately assuming that this was an opportunity to drive adoption, and that they could adhere to the regulation but little more. This is perhaps understandable, from both sides. Instant payments aren’t new. Some European countries had embraced them, and to great success; others had chosen not to. The volumes from this former group had triggered the regulatory moves that would subsequently be imposed on this latter group.

In addition to the attitudinal questions, Celent also asked respondents to describe what they thought adoption would look like over the next decade. The questions asked what proportion of total SCT volumes would be SCT Inst at four key dates – 2025, 2027, 2030, and 2035.

The dates were chosen to reflect:

- the starting point of the regulation (2025);
- an early indication of success (2027);
- the date that the regulator might review progress and intervene if it was unhappy (2030);
- and a decade on (2035).

In addition, the survey explored if there were differences in opinion depending on what adoption was being considered. The survey asked about adoption levels:

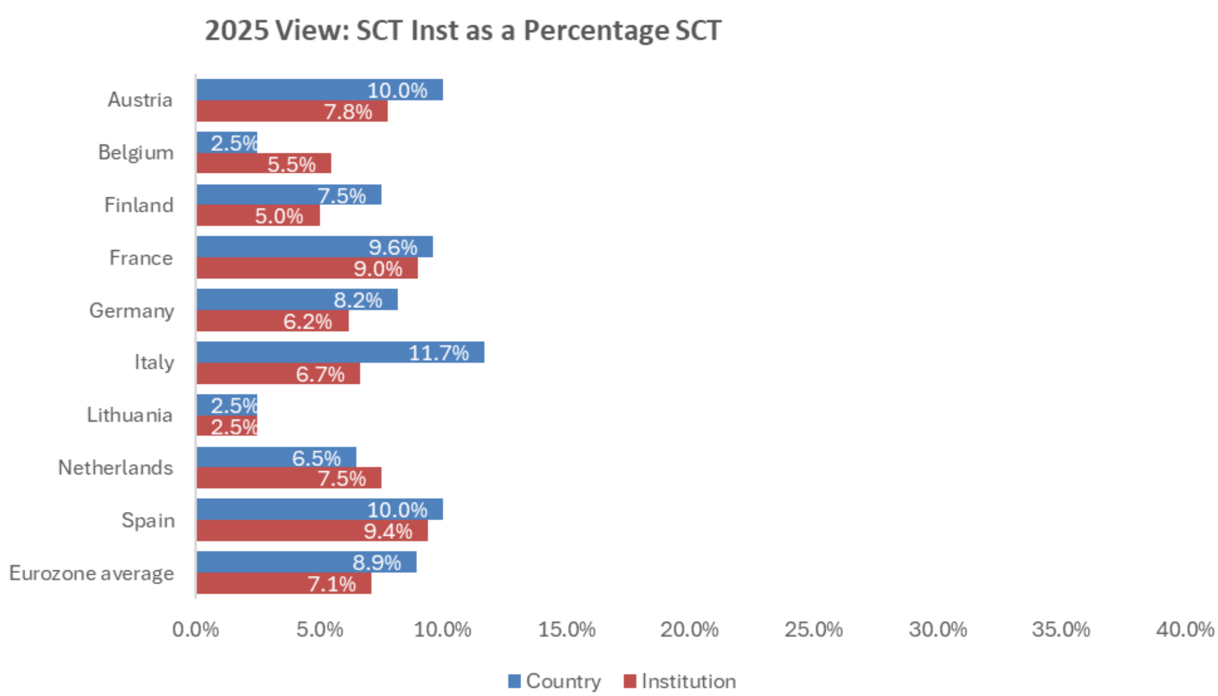
- at their institution;
- the country they were headquartered in;
- the eurozone;
- the European Union;
- the regulators’ expectations.

The Starting Line – 2025

Across all eurozone countries in the sample, the average proportion of SCT Inst was just 8.9% of SCT at a country level. By country, Belgium and Lithuania had the lowest rates at 2.5%, while Italy had the highest at 11.7%. This is surprising as the European Payments Council tracker estimated the volumes to be 7.9% at the end of 2020, and 30.6% by Q2 2025. While the relatively small samples may play a part, it is more likely that the respondents were reflecting on the *result* of the regulation, i.e., what volume shift the bank thought was caused by the regulation. It is even more marked when considering the view by institution. While Belgian banks were more optimistic, no institution got into double figures, with the average at just 7.1%.

It is somewhat unusual to see the figure for country adoption outpace the view of the respondents' own progress. Typically, in surveys, respondents tend to overstate their own position (as no one wishes to say they are bad!) and understate that of their peers. This trend continues throughout the survey, perhaps reflecting that banks are finding it difficult, but assume that their peers have fewer technical challenges, or have a more optimistic view of customer demand.

Figure 19: Banks Believe Peers May be More Advanced in SCT Conversion Than They Are



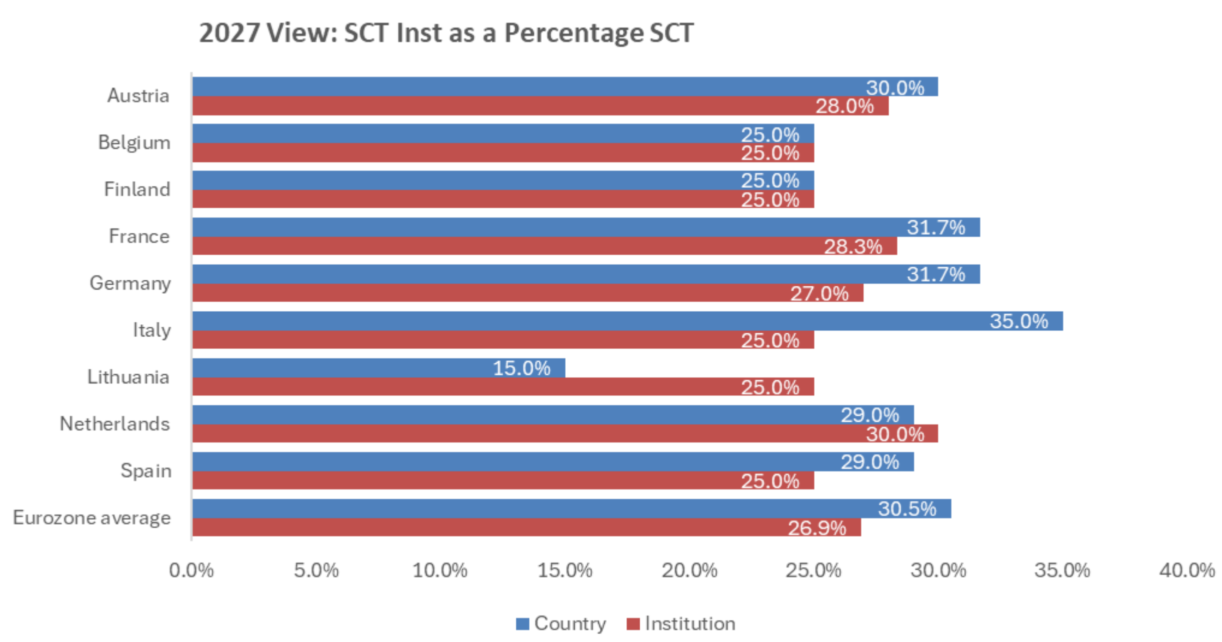
Source: Celent SCT Inst Survey, October 2025, all banks, n=60
Q. What percentage of SCT transactions do you expect to become SCT Inst over the following timeframes?

Early Indications – 2027

By 2027, banks should not only be ready but also fully active. Indeed, as shown in Figure 4, 97% stated they would be compliant by the 2027 deadlines, with the remaining 3% expected to be compliant within a few months. This explains the significant uplift in just two years that the numbers in Figure 20 highlight.

The average for the eurozone indicates that the average level of SCT Inst as a share of SCT is almost one-third. It is interesting to note that while the leaders in 2025 remain leaders in 2027, every country has experienced significant growth, and there is a remarkably uniform view for both their own progress and that of their country. Only Lithuania stands out as falling behind at a country level.

Figure 20: By 2027, Banks See Steady Uptake of SCT Inst



Source: Celent SCT Inst Survey, October 2025, all banks, n=60
Q. What percentage of SCT transactions do you expect to become SCT Inst over the following timeframes?

A Regulatory Mid-term Review – 2030

The IPR, like all European regulations, contains clauses to review the impact of the regulation. Article 15, 2(a) is the most explicit, stating that by October 9, 2028, the European Commission must present a report to the European Parliament and to the Council, accompanied, *if appropriate*, by a legislative proposal. The review explicitly looks at charges, but also "the scope of Article 5d and its effectiveness in preventing unnecessary hindering of instant credit transfers."

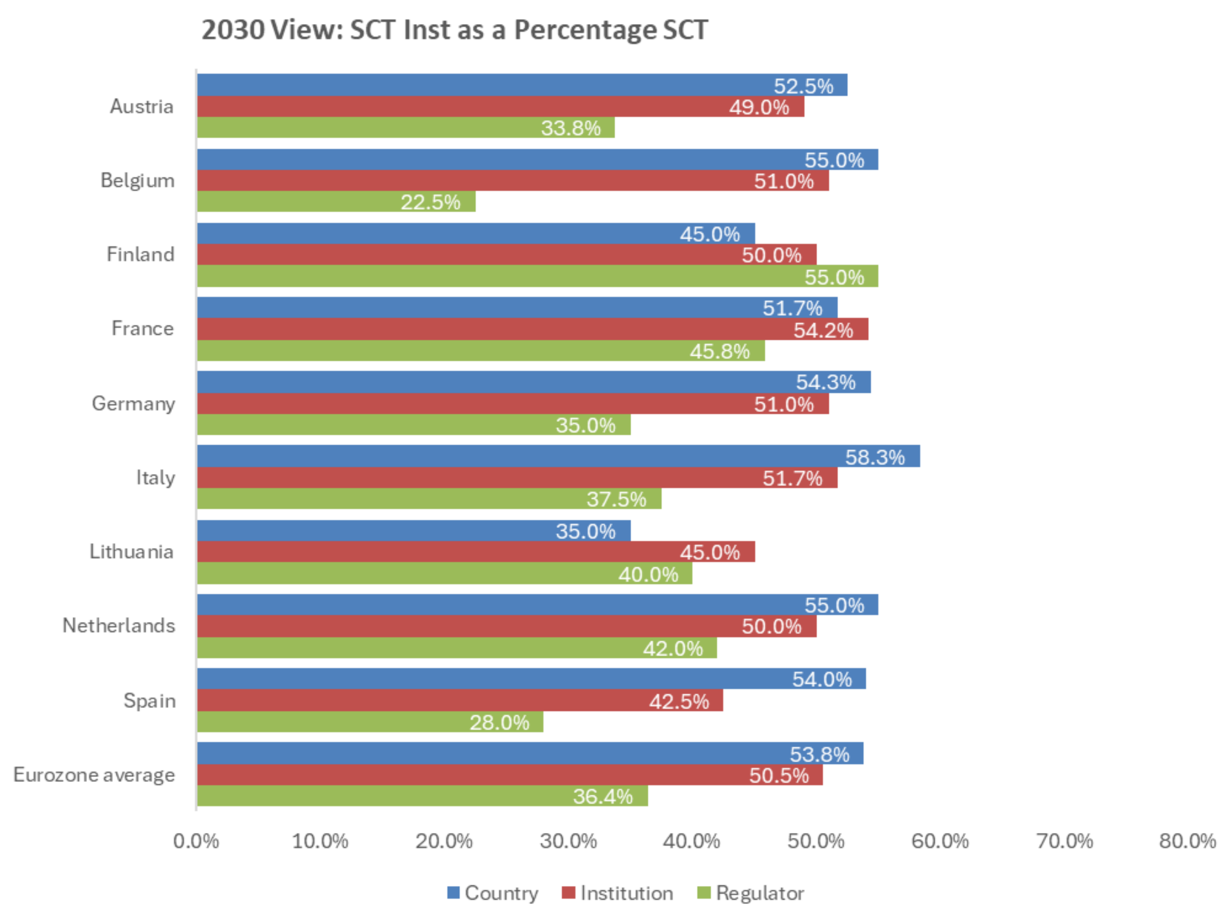
Neither clause suggests intervention by the regulators should volumes not meet their expectations, yet it would seem wise to assume that the regulators are tracking progress. Indeed, all PSPs from October 2025 must report both the volumes and value of SCT Inst on an annual basis.

The survey also tracked the views of PSPs on what progress the regulators believe should have been achieved. We've highlighted the number in 2030 on the basis that five years is a reasonable amount of time to have passed to check on progress. However, if the impact review in 2028 determines that progress is too slow, 2030 is a feasible date by which the legislative proposal will be in draft form.

Past experience with SEPA has shown that there are risks in assuming market adoption. The regulators believed the benefits were so clear that both PSPs and customers would adopt them almost instantly, yet it took further legislation to enforce takeup. The IPR legislation was written in such a way that many of the barriers to adoption, such as charges, were taken away, but that doesn't guarantee adoption, nor does it set out the regulators' expectations.

The good news in Figure 21 is that every institution and every country is expected to be significantly ahead of what they believe the regulators' expectations would be. Indeed, at the eurozone average, the regulator's target would be exceeded in 2027.

Figure 21: Banks See 2030 as a Tipping Point for Adoption, and Exceeding Regulatory Expectations



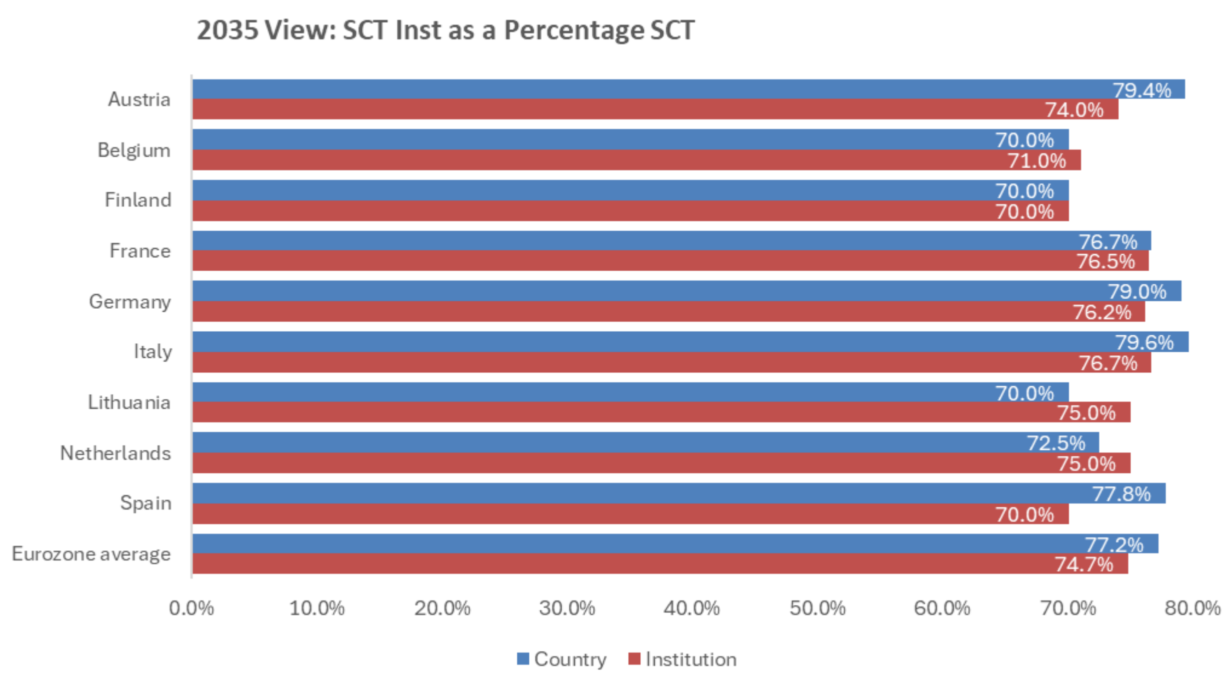
Source: Celent SCT Inst Survey, October 2025, all banks, n=60
Q. What percentage of SCT transactions do you expect to become SCT Inst over the following timeframes?

A Decade of IPR - 2035

After a decade of IPR, respondents expect that SCT Inst will be well established and will have significantly overtaken SCT. Indeed, every institution expected that at least two-thirds of SCT volumes would become SCT Inst, with an average of 75% of all SCT volumes. The picture is remarkably consistent across Europe, and while the figures may suggest large variances, there is less than 10% across the range, with the average being just 0.2% below the collective view of what they believe the regulator expects (72.4%). That latter correlation may or may not be a coincidence.

In most instances, the gap between the view of their own institution's migration and that of their country had closed as well, with only Austria and Spain standing out.

Figure 22: Within a Decade Banks Believe That SCT Inst Will Dominate SCT Transactions

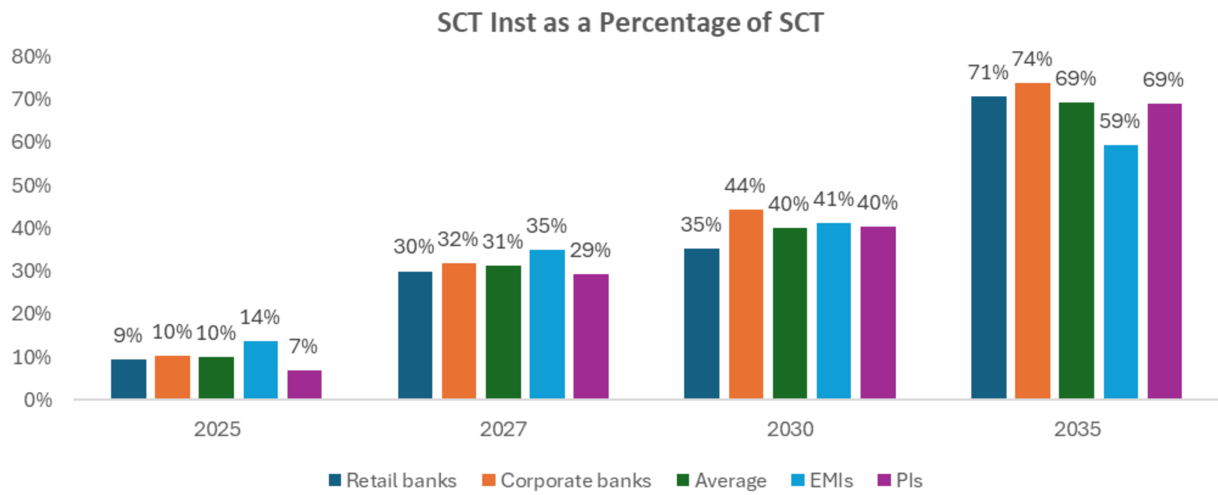


Source: Celent SCT Inst Survey, October 2025, all banks, n=60
Q. What percentage of SCT transactions do you expect to become SCT Inst over the following timeframes?

The analysis so far has focused on the banks' views. Comparing the viewpoints of all four types of respondents makes interesting reading. In Figure 23, at the start of 2025, EMIs are the most optimistic, but PIs are the least, with banks sitting almost exactly in between. Over time, the gap between EMIs and PIs closes and eventually switches, while banks show more consistent progress.

In 2030, corporate banks open a significant gap over their retail counterparts. This is likely a result of the composition of their volumes. Corporate banks have a concentration of volumes across a smaller number of clients. Converting, say, a single large corporate or government department will result in not dozens of SCT Inst, but hundreds of thousands, if not more. While retail customers may find it easier to switch (because they are unlikely to be given a choice), and there may be more of them, most retail customers make relatively few SCT transactions. They tend to be recipients of SCT transactions (i.e., salaries) or pay bills with cards or direct debits.

Figure 23: PSPs Are Broadly Aligned with Migration, Though with Some Notable Exceptions



Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. What percentage of SCT transactions do you expect to become SCT Inst over the following timeframes?

By 2035, three of the four groups are almost identically aligned in terms of the adoption of SCT Inst, but with EMIs noticeably lag behind. This likely relates to the earlier finding, shown in Figure 17, where EMIs appear to be the most determined group to raise fees, with 17% strongly agreeing. This may imply that they equally see some value for *some* transactions, given their optimism.

The differences are highlighted because of some potential implications. The next big set of regulations that European payments are facing is what is referred to as the "Payments Package". This is made up of several pieces of legislation, including Payment Services Directive 3 (PSD3) and Payment Services Regulation 1 (PSR1). It's complex as the Package not only extends existing legislation but replaces other legislation such as the E-Money Directive 2 (EMD2) by folding it into the Package.

The key point here is that this creates a single regulatory framework for all PSPs. The PSR1 broadly places the same requirements on all PSPs, whether a bank or an EMI. This raises the question of whether the future reporting of volumes and values of SCT Inst will distinguish between today's EMI and other PSPs, and what implications that might have. In the big picture, EMI volumes relative to banks are typically very small (banks are larger and there are more of them), but this might mean that different arise for those with direct access. It is a small risk, but in light of needing to raise fees, and the regulator's review will focus on fees, it is something that EMIs should be aware of.

Forecasting SCT Inst Adoption: Volumes, Drivers, and Scenarios

While the simple metric of SCT Inst transactions as a percentage of SCT is relatively easy to track, it is not enough for PSPs when planning for SCT Inst adoption. PSPs must also consider growth in absolute volumes in the context of broader changes sweeping through the European payments market. In this section, Celent puts forward forecasts for SCT Inst adoption and explores key demand drivers and potential scenarios.

The Tipping Point is Sooner than Many Think

The European Payments Council (EPC) SCT Inst tracker indicates that SCT Inst's share has taken five years to move from 7.9% in 2020 to 24.7% at the end of 2024. As discussed in previous sections, the survey respondents were somewhat cautious in their take-up in the first few years after the IPR, with numbers suggesting that they may not meet the EPC number until 2027. In addition to the earlier points, there is an obvious additional factor – almost all payment types, including SCT, will continue to grow in volume as well.

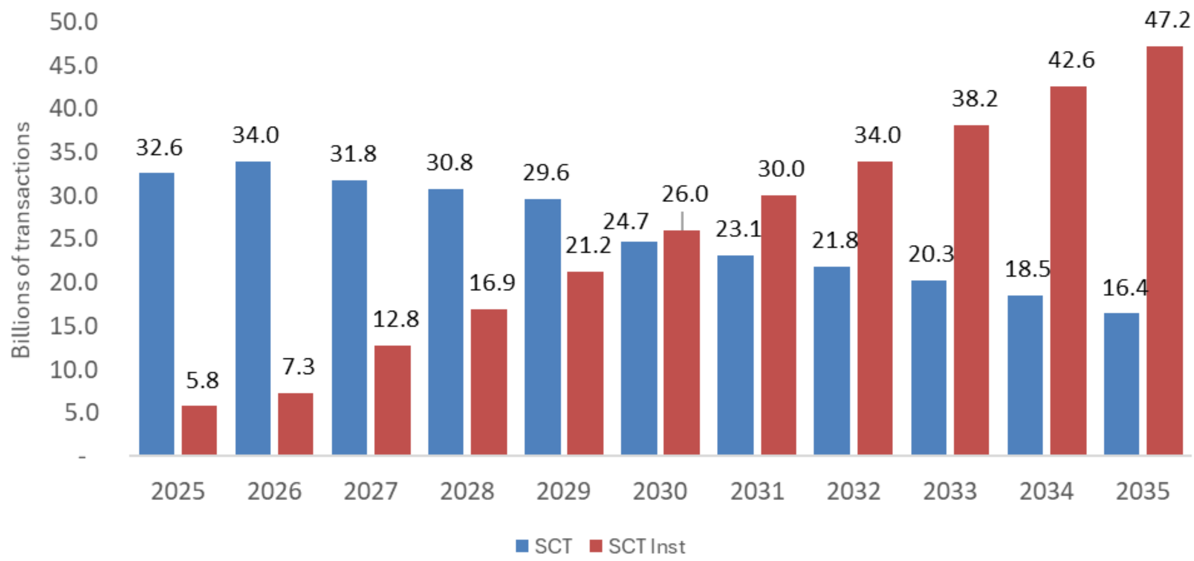
To understand the potential impact these movements might have, Celent created a baseline forecast for all payment types, forecasting out to 2035. The data was sourced and triangulated from multiple sources, including Celent's existing research and databases of payment volumes, GlobalData's payment volumes forecasts, and data from the European Central Bank's statistics warehouse.

Celent then revised the forecasts for SCT Inst and SCT based on the results of the survey represented in Figure 19 to Figure 22. This was done at a country level to capture the different opinions and differing underlying volumes. Finally, Celent then forecast the migration from SCT to SCT Inst for the eurozone countries not covered by the survey. While the nine countries surveyed represent the majority of the payment volume in the eurozone countries, collectively the remaining 11 countries represent around 11% of the total volumes.

Forecasting is as much art as it is science. While considerable effort and thought have gone into the analysis, they are forecasts, and the further out the forecast, the greater the likely variation in the actual numbers. That said, historically, Celent forecasts for three to five years out have tracked closely to the resulting numbers, giving confidence to our approach.

As shown in Figure 24, Celent forecasts that SCT Inst volumes will overtake SCT by 2030 and will accelerate away. However, SCT is far from dead and will continue to have significant volumes for at least the next decade.

Figure 24: Celent Forecasts that SCT Inst Volumes Will Overtake SCT in 2030



Source: Celent Payments Model, October 2025

There are some clear implications.

First, are the SCT Inst solutions in place today capable of handling such rapid growth in transactions?

Figure 9 highlights the approaches taken, with 62% of banks adapting existing systems. If those systems weren't designed for instant payments, then the banks will rapidly face issues in scaling. It seems unlikely that this is the case, given how many banks already offer instant payments, but it can't be ruled out. In prior research into other similar payment migrations (e.g., the Swift migration from MT to the ISO 20022-based MX format), it became apparent that such a scenario had occurred.

More likely, the banks will have adapted existing instant payment solutions to make them SCT Inst compliant. What is less clear is whether those solutions (and associated processes) have been resized to meet the rapid growth. Banks procure payment systems with volume forecasts to guide the solution and assess their scalability; for many, these will have pre-dated the regulation. It is possible then that a few banks will face issues, especially if they've taken a more pessimistic view of future volumes. It's also important to note that the scale issue impacts not just the processing power required and when, but also the scalability and availability of APIs, overall availability (true 24/7/365 processing), and the associated services such as fraud monitoring and detection, operational staffing, and so on.

Celent believes that most banks will have planned well, but that those plans may be more pragmatic than optimal. That is, the plans may have prioritized compliance today over preparing for the likely volumes tomorrow. It is also likely that some banks may adopt a similar approach to the one they did for APIs for open banking under PSD2. They are technically compliant, but the quality and throughput of the API may not be as robust as those channels supporting traditional SCT inputs.

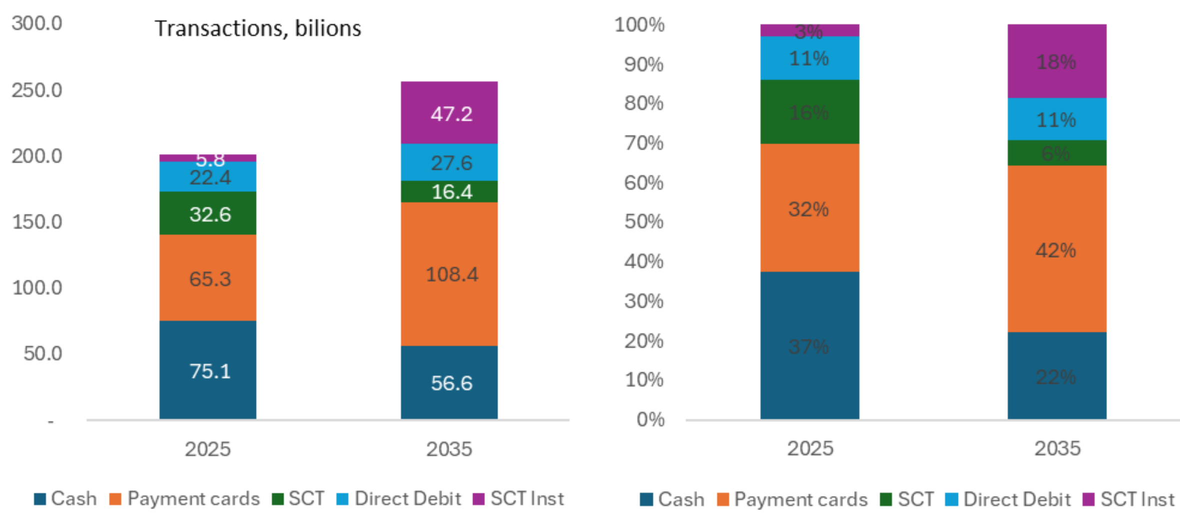
Nothing in Nature Happens in Isolation: Payments Butterfly Effect

Discussion so far has been solely on instant payments and their relation to credit transfers, yet that doesn't tell the whole picture. Instant payments are competing against many other established payment types.

All payment types have been developed to address particular scenarios. For example, direct debit was designed to collect regular, recurring payments, whilst debit cards could be argued to be a form of digital cash for in-person transactions. They have continued to evolve, and, of course, there are now many more payment occasions, from the explosion in subscription services like Netflix to e-commerce to digital services. This has resulted in an explosive growth in the total volume of payments.

Celent's view is that SCT Inst is poised to capture a growing share of a growing pie. Figure 25 illustrates that the overall volumes are expected to grow by 55 billion transactions (a CAGR of 2.4%) over the next decade. Furthermore, the composition will change dramatically, with SCT Inst demonstrating by far the most significant shift in percentage terms (23% CAGR) to become the second most used non-cash payment type. This shift is even more visible when viewed as a share of volumes.

Figure 25: SCT Inst Will Capture a Growing Share of a Growing Pie



Source: Celent Payments Model, October 2025

There is a saying that "nothing in nature happens in isolation"; others talk of the butterfly effect, which seems apt here. It highlights that nothing is constant, and changes have consequences, sometimes unintended. The growth in SCT Inst also will not come in isolation, but at the expense of other payment types beyond SCT.

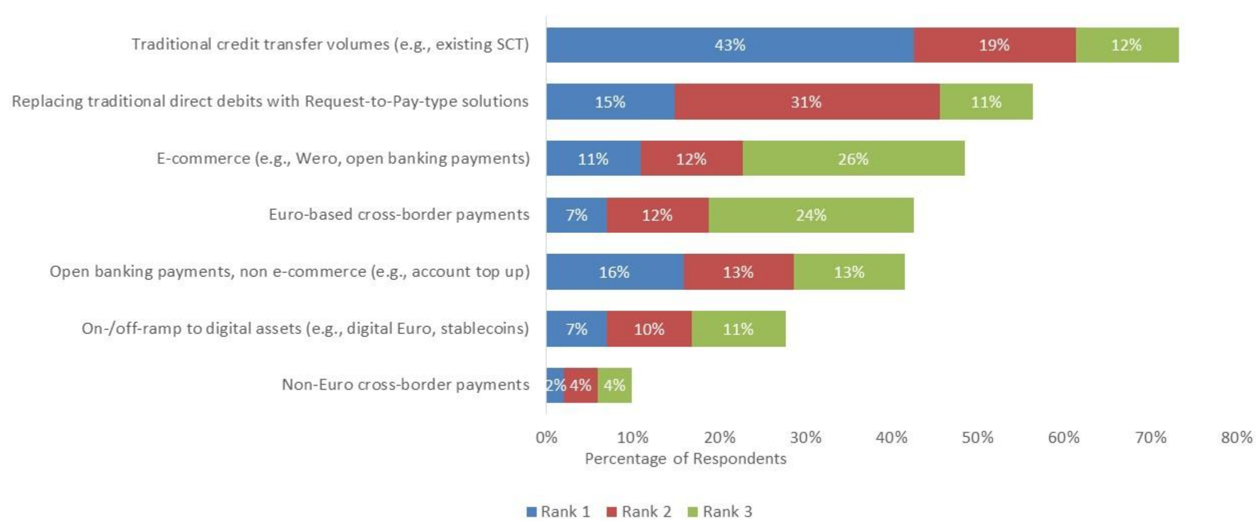
As discussed previously, the survey results highlighted that adoption of SCT Inst would be rapid and significant, not least because once all PSPs offer SCT Inst, and customers are not charged extra, there will be little reason for customers to choose slower traditional transfers. Celent was also keen to understand where the industry thought those volumes would come from and asked the respondents to select their top three from a list of seven choices of potential sources of SCT Inst transactions (Figure 26). It should be noted that the percentages reflect the respondents who selected that option as one of their top three choices as *contributors* to growth, not the proportion of volumes will come from these sources.

Unsurprisingly, traditional SCT volumes are the clear winner. The remaining results are interesting, with some variations by country. For example, replacing direct debits was the second-highest ranked answer overall and the highest rank two, but didn't score at all in Belgium. This may be due to the sample size, but equally it could reflect how direct debits are viewed. SEPA Request to Pay (SRTP) has been available since mid-2021 with negligible use. While universal availability of SCT Inst will clearly help, this might not be the only barrier to its adoption.

E-commerce is shifting from cards to account-to-account (A2A) payments, driven by initiatives such as Wero and open banking. While relatively new, European Payments Initiative (EPI) and its Wero wallet are gaining traction, with key acquisitions, such as iDEAL in the Netherlands, and a growing number of banks and PSPs joining in the last 18 months. EPI has also announced a partnership with the European Payments Alliance (EuroPA), represented by local champions such as Bancomat, Bizum, MB WAY (SIBS), and Vipps MobilePay, to focus on interoperability for cross-border transactions. Coupled with a political desire to move to more European-based payment systems – and away from dominance of the traditional US networks – EPI and the local A2A wallets have the potential to drive significant additional growth in SCT Inst.

It is also interesting that every option was ranked, highlighting the differences in how PSPs think about this. Having said that, all four categories of respondents (retail and corporate banks, PIs, and EMIs) ranked the same top three options broadly the same and in the same order, except for retail banks, who on a cumulative basis marginally put e-commerce ahead of even traditional SCT migration.

Figure 26: The Industry's Expectations on Key Contributors of SCT Inst Volumes



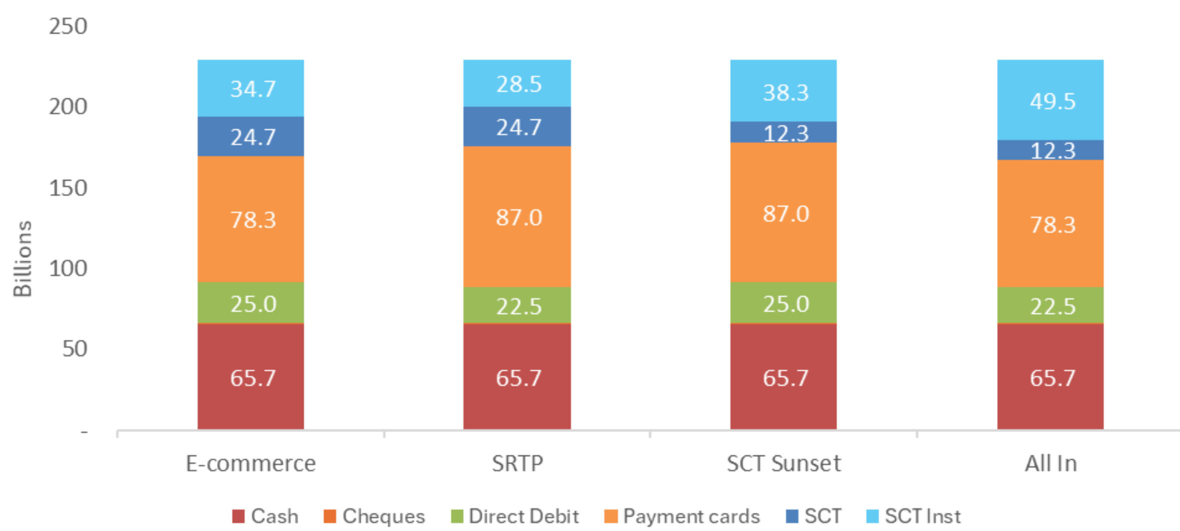
Source: Celent SCT Inst Survey, October 2025, all respondents, n=101
Q. Which of the following use cases and payment flows do you see as key contributors of SCT Inst transaction volumes by 2030?

Given this feedback, Celent created three scenarios to model the potential impact. For the e-commerce scenario, Celent assessed the effect of 10% of card volumes migrating to SCT Inst in 2030. For the direct debit scenario, Celent also forecast the impact of 10% of direct debit volumes migrating to SRTP. Finally, Celent forecast the impact if banks moved 50% of their remaining SCT volumes.

The latter assumption may seem aggressive, but it reflects conversations already taking place. For example, the Dutch community has been discussing whether to migrate all of their direct debit volume to SRTP, but given SCT already operates in just minutes, they are also considering whether to maintain the SCT system at all. While outside of the eurozone, the original plan for the UK's New Payments Architecture was also predicated on moving everything to instant payments.

Figure 27 shows the impact on the share of payments. The e-commerce scenario is perhaps the most eye-catching. With card payments being the largest payment type, they have the largest impact on the overall share that SCT Inst would take. It is also interesting to consider the effect of all three scenarios happening simultaneously. As SCT Inst becomes more dominant, it makes more sense for banks to consider all scenarios. The impact is clear – SCT Inst volumes could reach almost 50 billion transactions a year.

Figure 27: By 2030, the Payments Landscape Could Evolve Rapidly Under Three Simple Scenarios



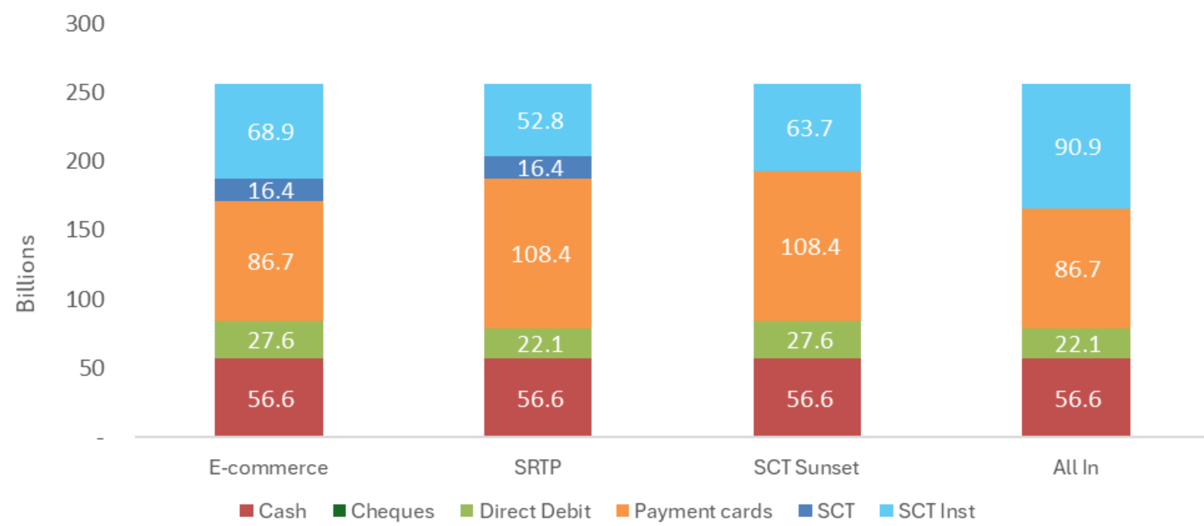
Source: Celent Payments Model, October 2025

Finally, many other things could drive these volumes further and faster. For example, initially the SCT Inst limit was set at €100,000. Other instant payment systems have limits measured in the millions, broadening their possible uses. Under IPR, payments of up to €999,999,999 can now be made via SCT Inst, matching the limit of SEPA CT. This will open many new opportunities, as case studies from around the world have shown how instant payments can unlock innovative new bank products, such as automatically triggering payment execution. For example, a bank might enable stage payments triggered by APIs from corporate systems, such as partial payments for goods based on the various stages of delivery (i.e., factory gate, dockside, customs cleared, etc.).

However, larger limits also imply greater risks. To give customers complete control over their use of instant credit transfers, banks should provide them with the ability to set, adjust, or remove personal limits on the amounts they can send. This includes options for daily limits or per-transaction limits. Of course, customers must be able to make these changes easily, quickly, and with immediate effect.

If the scenarios in 2030 seem plausible, what might the impact be in 2025? For each scenario, Celent created forecasts for 2035 based on relatively modest assumptions. For the first two scenarios, conversion would continue at a similar pace and get to 20%. However, Celent forecasts a significantly more aggressive scenario for SCT – that it will essentially either wither away or be actively sunsetted and all volumes migrate to SCT Inst. To be clear, this is not to say that Celent believes this will happen, but it is to highlight that there will be some tough choices in the future, and both regulator and the industry need to think this far ahead. Both cash and cheques have seen regulatory intervention in a number of countries to prevent their demise. At the same time, regulators have also been promoting alternatives.

Figure 28: By 2035, There is an Opportunity to Radically Reshape the Payments Landscape



Source: Celent Payments Model, October 2025

The resulting scenarios highlight the levers and pulleys of payment volumes. There are numerous use cases for each payment type, and addressing those use cases can move the needle. For example, in many countries, while thousands of firms use direct debit, roughly 100 will generate at least 60%, if not more, of the total volume. In some countries, the concentration may be even greater, for example, depending on how tax is collected. It makes it easier to influence, if not mandate, such migrations. The use of payment cards is much harder, though, as the payment choice typically lies with the consumer, and would have revenue implications for PSPs, even if shifting revenue from one part of the organization to another. The volume shifts in Figure 28 are hypothetical, then, but not unrealistic.

The scenarios above are based on initiatives already well underway. While some have yet to gain significant traction, their goals and objectives are clear. Yet these are not the only things on PSPs' strategic agenda, and which might have impacts on not just SCT Inst volumes, but all payments.

What If…? Considering Longer-Term Developments

Stablecoins

Perhaps the most obvious candidate for consideration is stablecoins – and tokenized assets more broadly – simply because of the related discussion volume. While stablecoins are not new, 2025 saw a "stablecoin summer", driven in part by the US creating the GENIUS Act. Yet Europe has already published the Regulation on Markets in Crypto-Assets (MiCa) that establishes the framework and rules for their use.

Their impact for now remains uncertain. For example, use cases for stablecoins are numerous and vary, and many tend to highlight their promise, rather than demonstrating clear, realizable benefits. This isn't to imply that Celent doesn't believe in those benefits, but rather that there are obstacles to overcome in order to realize them. For example, numerous stablecoins already exist. With more than 120 already available and growing almost daily, many with relatively narrow use cases, and with most subject to one or more regulatory restrictions (e.g., most national regulation limits the use of stablecoins to those pegged to the currency of that country), banks are likely to need to support multiple stablecoins, each of which will work slightly differently and for specific purposes. They are also required to meet the regulatory requirements that existing rails do. Compliance is already often challenging for fiat money; stablecoins (and the wallets that receive them) are likely to be significantly more difficult.

While stablecoins are expected to gain traction in cross-border payments, it is unlikely that they will significantly impact cross-border SCT Inst. First, intra-eurozone transactions are relatively small. Second, TIPS makes it cheap and easy to make intra-eurozone transactions. Third, while there is the SCT Inst OCT scheme for "one leg out" payments (i.e., when one party is outside the eurozone), it is optional.

Domestically, the impact is even more uncertain. While there may be an opportunity for customers to use stablecoins for e-commerce or for organizations to use them as an internal value transfer mechanism, we don't see stablecoins having a significant impact on SCT Inst volumes in the next three to five years.

Digital Euro

On the other hand, the Digital Euro has the potential to disrupt SCT Inst significantly (and indeed, all existing payment types!).

A Digital Euro would be a form of central bank digital currency (CBDC) available to the public, intended as a digital equivalent of cash. While it is being actively investigated, and post-GENIUS Act, accelerated, there are no formal commitments yet, nor has the design been finalised. The ECB's Governing Council announced on October 29, 2025 the start of a new phase aimed at preparing technically for a potential launch. However, a launch could only occur once the Council and the European Parliament finalise the legal framework. Should the regulation be adopted in 2026, a "pilot" could begin as early as mid-2027, with a gradual launch starting from 2029.

The Digital Euro has some features that make it a threat, even beyond SCT Inst. First, it will be mandatory for PSPs to provide digital wallets to all account holders, and to be made available both online and offline. This gives the same instant ubiquity as cards and cash. Second, while banks will be responsible for facilitating the funding and 'unfunding' of the wallets, these will be internal account transfers. Transactions will take place between wallets, with the ECB providing settlement. This could lead to a shift in payment volumes to intra-wallet transfers as wallet holders maintain balances.

This has a few additional implications. All transactions made by the wallets still require PSPs involvement. In crude terms, PSPs will incur extra costs to implement and operate these wallets, while also managing a loss of revenue. What is less clear is the cost to the commercial users of wallets. How might they be charged, and for what? How will things such as chargebacks work? Will the accounts earn interest? These issues will be addressed before any launch; however, it is equally clear that banks, regulators, and customers will not agree on what the correct answers are.

This leads to the most important point – what are the regulatory expectations? There is a clear potential conflict. Should usage of the Digital Euro fail to meet the regulator's view of what it should be, there will likely be a remedy to address it. Yet this would have the potential to reverse the impact of IPR and the economics of payments for all banks. In short, costs would rise, and revenues fall. To be clear, Celent is highlighting potential outcomes to underline that regulations are made by many, and that there isn't a clear single plan that can be executed in isolation.

Agentic Commerce

Alongside stablecoins, AI agents have been one of the most discussed items of 2025. Indeed, a significant proportion of Celent's 2026 Previsory (top technology trends report) looked at three forms of agentic systems – agentic AI (banks deploying agents for internal operations), agentic commerce (customers using agents to shop and pay), and agentic banking (customer agents talking directly to bank agents). Our message was clear – agentic commerce will transform how customers shop and pay. While this matters to PSPs, the impact on search engines and retailers is potentially even larger, with hundreds of billions in search-generated advertising revenue at stake.

This creates a unique situation. Instant payments are well suited for agent-initiated payments. They can be triggered automatically, 24/7, and provide not only speed, but certainty too. Under the IPR, the costs will decrease, and the cost of settlement continues to decline – TIPS is now just €0.002 and is likely to continue to reduce. This could support transactions of smaller values, such as automated payment for tolls or parking. However, providers of micro-value payments are very price sensitive as they typically work on small margins on large volumes. Should the Digital Euro or a card acquirer offer a lower cost, then these volumes may not materialise. A "race to the bottom" in price will not benefit PSPs long term, so an area of focus will be how to add value to the transaction process and experience.

As mentioned previously, payments have evolved to serve certain use cases. Within those payment occasions, the customer typically has a choice. For example, at an e-commerce site, customers have a few payment options, but not all. In the past, the customer chose based on habit; that is, they pay the same way every time, increasingly as e-commerce sites prepopulate their payment details. With agentic commerce, the customer may be offered the opportunity to essentially reset their preferences, or potentially for the agent to decide on their behalf. This creates a few inflection points where payment volumes might shift and potentially be set by third parties who may have a different set of objectives.

Much of this is currently hypothetical, yet it has the potential to change payment volumes, particularly in e-commerce and automated transactions. For PSPs, there is everything to play for – and of course, much to potentially lose.

Path Forward

European payments have undergone a significant transformation over the last few decades, much of which has been driven by regulatory intervention, such as SEPA. It is easy to see IPR as "just" the latest in a long line of regulatory intervention. Yet it is different, and should be seen as preparing Europe for the future, not just another payment method.

The respondents to Celent survey indicate that IPR will change the payments landscape in Europe. Celent research shows that while not every PSP is 100% ready, the majority are. SCT Inst will rapidly grow and become one of the main payment rails in a short period of time. Indeed, SCT Inst looks set to overtake SCT within five years and continue to grow substantially through the rest of the decade. It is also likely that SCT Inst will gain volumes not just from areas where SCT is used but creating new payment volumes and replacing payment types in other areas, such as SRTP replacing direct debits.

This shift has clear implications for all participants across three broad categories.

Business Models

A shift to SCT Inst, and the reduction in fees to be equivalent with SCT transactions, will have an impact on revenues in some markets, especially where instant payments are already established. All PSPs will need to consider the effect that this shift in volumes will have on their revenue. Celent has previously discussed the numerous revenue opportunities around instant payments. These have included, amongst other things, real-time data access and cash forecasting for corporate banks. Banks will also have to keep a wary eye on whether these charges will fall under future IPR regulatory revisions. For all PSPs, there is an opportunity to build new product offerings that utilize the facets of instant payments, from overnight sweeps to embedding instant payments into broader offerings that benefit from payments programmability.

At the same time, instant payments are more expensive to operate than SCT. It isn't just a matter of focusing on which volumes are processed, and where, for revenue terms, but also for operating costs. Should a bank consider actively reducing other payment types in the hope that they might be able to retire some of the related systems? Initially, this will be on a bank-by-bank basis, driven by the number of systems each bank has, and more importantly, the potential cost savings they may accrue.

Operations

Moving to 24/7/365 is something that isn't new for any bank that offers instant payments today. However, for many, the scale may well be different. It will require even greater levels of resilience, not least because any issues will be more visible, to more people, faster. It's also not just the instant payment processing solution itself, but anything and everything that is utilized by it. For example, core banking solutions are typically batch-based; however, a significant volume of transactions will now be instant and

24/7, which will impact balances. With the advent of other forms of money, shadow ledgers are likely to be in strong demand.

It isn't just about technology, but also about people. While AI and automation will play an increasingly important part, the growth will still require operations to be appropriately staffed.

Strategic Planning

Clearly, the other categories require planning as well, including capacity and upgrades to future product offerings and business models. It is, however, important to understand and model the possible scenarios. While the report highlighted some of these, this is perhaps at an even more fundamental level. Would the regulator push for SCT to be fully retired? Or would it push for SCT to be maintained, regardless of volume?

This may seem an odd question, but it highlights the apparent contradictions that many see. For example, access to cash. Some countries are happy to let cash whither, while others are ensuring its continued availability. At a European level, the regulator appears to be doing both, strengthening the regulatory position of cash, but also proposing the Digital Euro, something that many consider to be a replacement for cash. This example serves to highlight that payments are very political, and even within the same regulator, different and competing goals emerge.

The broader point, then, is as much to do with agility, and the ability to respond to change. Payments have broadly followed a relatively steady trajectory. Predicting volumes in five years' time was relatively simple – while the exact numbers might not be correct, the orders of magnitude and relative volumes to each other would be. Banks could plan upgrades and lifecycles with a fair degree of comfort. Our research shows that in as little as five years, two payment types will undergo fundamental changes, and likely have an impact on others. If stablecoins and the Digital Euro deliver even a fraction of the changes that some believe they will, the landscape will rapidly alter again.

To be clear, Celent believes that not only are instant payments here to stay, but that they will continue to grow in importance. Banks need to plan for a very different future, one which will rapidly change. Increasingly, this will mean moving to a SaaS based solution, with pricing reviewed on a regular, short-term basis. While many contracts have pricing devices such as floors and ceilings, given the rapid change, few should consider contracts more than a few years. For smaller banks, an alternative may be to outsource to a third party, such as a bank or a PSP with a direct connection.

Banks are facing unprecedented levels of change. IPR is the latest catalyst, but the underlying facets – 24/7/365 availability, robust APIs, and high levels of resilience, to name a few – are the foundations for banks of the future. Being IPR compliant should not be conflated with preparing for the future of payments.

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Typical projects we support include:

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Business practice evaluations. We spend time evaluating your business processes and requirements. Based on our knowledge of the market, we identify potential process or technology constraints and provide clear insights that will help you implement industry best practices.

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Support for Vendors

We provide services that help you refine your product and service offerings. Examples include:

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